

Personal Finance

TAX UPDATE



GARMAN | FORGUE

Personal Finance^{13e}

TAX UPDATE



E. THOMAS GARMAN
Virginia Tech University

RAYMOND E. FORGUE
University of Kentucky



Australia • Brazil • Mexico • Singapore • United Kingdom • United States

Copyright 2021 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part. WCN 02-200-208

Copyright 2021 Cengage Learning. All Rights Reserved. May not be copied, scanned, or duplicated, in whole or in part. Due to electronic rights, some third party content may be suppressed from the eBook and/or eChapter(s). Editorial review has deemed that any suppressed content does not materially affect the overall learning experience. Cengage Learning reserves the right to remove additional content at any time if subsequent rights restrictions require it.

This is an electronic version of the print textbook. Due to electronic rights restrictions, some third party content may be suppressed. Editorial review has deemed that any suppressed content does not materially affect the overall learning experience. The publisher reserves the right to remove content from this title at any time if subsequent rights restrictions require it. For valuable information on pricing, previous editions, changes to current editions, and alternate formats, please visit www.cengage.com/highered to search by ISBN#, author, title, or keyword for materials in your areas of interest.

Important Notice: Media content referenced within the product description or the product text may not be available in the eBook version.

Personal Finance Tax Update, 13th Edition
E. Thomas Garman and Raymond E. Forgue

Senior Vice President, Higher Education & Skills
Product: Erin Joyner

Product Director: Jason Fremder

Product Manager: Aaron Arnsperger

Content Manager: Renee Schnee

Product Assistant: Maggie Russo

Marketing Manager: Christopher Walz

Learning Designer: Brittany Waitt

Intellectual Property Analyst: Ashley Maynard

Intellectual Property Project Manager:
Nick Barrows

Production Service/Composition:
Lumina Datamatics, Inc.

Art Director: Chris Doughman

Cover Image: Strejman/Shutterstock.com

Interior Images: istockphoto.com/Faysal
Ahamed, iStockphoto.com/pictafolio,
djdarkflower/shutterstock.com, DeiMosz/
Shutterstock.com, Picxel Emabargo/
Shutterstock.com, inxt/Shutterstock.com

© 2021, 2018 Cengage Learning, Inc.

Unless otherwise noted, all content is © Cengage.

ALL RIGHTS RESERVED. No part of this work covered by the copyright herein may be reproduced or distributed in any form or by any means, except as permitted by U.S. copyright law, without the prior written permission of the copyright owner.

For product information and technology assistance, contact us at
Cengage Customer & Sales Support, 1-800-354-9706 or
support.cengage.com.

For permission to use material from this text or product, submit all
requests online at **www.cengage.com/permissions.**

Library of Congress Control Number: 2019913066

ISBN: 978-0-357-43891-6

Loose-leaf Edition:

ISBN: 978-0-357-43885-5

Cengage

200 Pier 4 Boulevard
Boston, MA 02210
USA

Cengage is a leading provider of customized learning solutions with employees residing in nearly 40 different countries and sales in more than 125 countries around the world. Find your local representative at **www.cengage.com.**

Cengage products are represented in Canada by Nelson Education, Ltd.

To learn more about Cengage platforms and services, register or access your online learning solution, or purchase materials for your course, visit **www.cengage.com.**

Brief Contents

PART 1	FINANCIAL PLANNING	1
CHAPTER 1	Understanding Personal Finance	2
CHAPTER 2	Career Planning	38
CHAPTER 3	Financial Statements, Tools, and Budgets	72
PART 2	MONEY MANAGEMENT	113
CHAPTER 4	Managing Income Taxes	114
CHAPTER 5	Managing Checking and Savings Accounts	146
CHAPTER 6	Building and Maintaining Good Credit	176
CHAPTER 7	Credit Cards and Consumer Loans	198
CHAPTER 8	Vehicle and Other Major Purchases	224
CHAPTER 9	Obtaining Affordable Housing	254
PART 3	INCOME AND ASSET PROTECTION	293
CHAPTER 10	Managing Property and Liability Risk	294
CHAPTER 11	Planning for Health Care Expenses	328
CHAPTER 12	Life Insurance Planning	356
PART 4	INVESTMENTS	385
CHAPTER 13	Investment Fundamentals	386
CHAPTER 14	Investing in Stocks and Bonds	418
CHAPTER 15	Mutual and Exchange Traded Funds	460
CHAPTER 16	Real Estate and High-Risk Investments	488
CHAPTER 17	Retirement and Estate Planning	514
Appendix A: Present and Future Value Tables		A-2
Appendix B: Estimating Social Security Benefits		A-11
Glossary		G-1
Index		I-1

Contents

PART 1 FINANCIAL PLANNING 1

CHAPTER 1

Understanding Personal Finance 2

1.1 Achieving Personal Financial Success	4
1.1a The Five Fundamental Steps in the Financial Planning Process	5
1.1b You Must Plan for Financial Success and Happiness	5
1.1c You Must Spend Less So You Can Save and Invest More	5
1.1d What You Will Accomplish Studying Personal Finance	6
1.1e Replace Your Obsolete Knowledge	6
1.2 The Economy Affects Your Personal Financial Success	7
1.2a How to Tell Where We Are in the Business Cycle	7
1.2b The Business Cycle	8
1.2c How to Tell the Future Direction of the Economy	9
1.2d The Future Direction of Inflation and Interest Rates	10
1.3 Think Like an Economist When Making Financial Decisions	14
1.3a Consider Opportunity Costs When Making Decisions	14
1.3b Identify Marginal Utility and Costs in Decision Making	15
1.3c Factor Your Marginal Income Tax Rate When Making Financial Decisions	15
1.3d Know That the Very Best Kind of Income Is Tax-Exempt Income	15
1.3e Realize that the Second Best Kind of Income Is Tax-Sheltered Income	16
1.4 Perform Time Value of Money Calculations	17
1.4a There Are Only Two Common Questions About Money	17
1.4b Calculating Future Values	18
1.4c Finding Present Values Is Called Discounting	20
1.5 Make Smart Money Decisions At Work	21
1.5a Open the New Employee Orientation Package	21
1.5b Choosing Tax-Free Cafeteria Plan Benefits	22
1.5c Decisions About Employer's Flexible Spending Accounts	23
1.5d Decisions About Employer-Sponsored Health Care Plans	24

1.5e Decisions About Participating in Employer Insurance Plans	24
1.5f Decisions About Participating in Your Employer's Retirement Plan	25

1.6 Where to Seek Expert Financial Advice 28

1.6a Not Every Financial Advisor Has Your Best Interests in Mind	28
1.6b How Financial Planners Are Compensated	30
1.6c Questions to Ask a Financial Planner	31

DID YOU KNOW?

<i>The Peer-to-Peer Sharing Economy</i>	14
<i>If No Employer's 401(k) Plan?, Open a Roth IRA</i>	26

ADVICE FROM A SEASONED PRO...

<i>Seven Money Mantras for a Richer Life</i>	10
<i>A Baker's Dozen of Good Financial Behaviors</i>	22
<i>A Baker's Dozen of Bad Financial Behaviors</i>	29

COMMON SENSE

<i>Be Optimistic About Your Future</i>	9
<i>Employees Gain Cash from Flexible Spending Plans</i>	23
<i>Help With College Debt</i>	24

BIAS TOWARD

<i>Thinking Things Will Continue as They Have</i>	13
---	----

YOUR GRANDPARENTS SAY

<i>"Save 10 percent of Your Income"</i>	16
---	----

NUMBERS ON Understanding Personal Finance

	19
--	----

TURN BAD HABITS INTO GOOD ONES

	23
--	----

MONEY WEBSITES

	20
--	----

NEVER EVER

<i>Leave Money on the Table!</i>	27
<i>Make the Worst Blunders!</i>	27

THERE IS AN APP FOR THAT!

	28
--	----

CHAPTER 2

Career Planning 38

2.1 Developing Your Career Plan 40

2.1a Clarify Your Values and Interests	40
2.1b Consider Your Current Interests and Possible Career Opportunities	41
2.1c Identify One or More Desired Career Fields	41
2.1d Review Your Abilities, Experiences, and Education	43
2.1e Know Your Preferred Work-Style Personality	43
2.1f Take Advantage of Professional and Social Networking	44
2.1g Prospective Employers Can Check Your Credit Report	46

2.1h	Align Yourself with Tomorrow's Employment Trends	46	THERE IS AN APP FOR THAT!	66
2.1i	Freelancing in the "Gig Economy" and Entrepreneurship	46	YOUR GRANDPARENTS SAY "Never Stop Learning"	50
2.1j	Finalize Your Career Plan	48	NUMBERS ON <i>Careers</i>	58
2.2	Financial and Legal Aspects of Employment	49	TURN BAD HABITS INTO GOOD ONES	64
2.2a	Is College Worth the Cost?	49	CHAPTER 3	
2.2b	Place Dollar Values on Employee Benefits	50	Financial Statements, Tools, and Budgets	72
2.2c	Know Your Legal Employment Rights	51		
2.3	Practice Effective Employment Search Strategies	53	3.1 Financial Values, Goals, and Strategies	74
2.3a	Assemble an Attention-Getting Résumé	53	3.1a Values Define Your Financial Success	74
2.3b	How to Search for and Target Preferred Employers	53	3.1b Saving Is Your Single Most Important Financial Task	75
2.3c	Identify Specific Job Opportunities	56	3.1c Examples of Financial Goals	77
2.3d	Write an Effective Cover Letter	58	3.1d Financial Goals Follow Your Values	77
2.3e	Obtain Strong Reference Letters	59	3.1e Financial Strategies Help Guide Your Financial Success	78
2.3f	Formally Apply for the Job	60	3.1f Wealth-Building Principles for Life	78
2.3g	Interview for Success	60	3.2 Financial Statements Measure Your Financial Health and Progress	79
2.3h	How to Compare Salary Offers	64	3.2a The Balance Sheet Is a Snapshot of Your Financial Status Right Now	79
2.3i	Ask for the Job	65	3.2b How to Increase Your Net Worth	83
2.3j	Wait and Be Patient	65	3.2c The Cash-Flow Statement Tracks Where Your Money Came From and Went	83
2.3k	Negotiate and Accept the Job	65	3.3 Collect and Organize Your Financial Records to Save Time and Money	87
2.3l	How to Move Up at Work	66	3.4 Money Topics to Discuss With a Partner	90
2.3m	Getting Paid "Right" in Your Job	66	3.5 Reaching Your Goals Through Budgeting: Your Spending/Savings Action Plan	91
2.3n	Periodically Update Your Career Plan	67	3.5a Action Before: Set Financial Goals	92
DID YOU KNOW?			3.5b Action Before: Make and Reconcile Budget Estimates	94
Generation Z Will Replace Millennials	44		3.5c Action Before Budgeting Period: Plan Cash Flows	96
Coding May Be Your Career Change	48		3.5d Action During the Budgeting Period: Control Spending	100
Do Not Give Up \$160,000 When Changing Employers	50		3.5e Action After: Evaluate Budgeting Progress to Make Needed Changes	103
Value of Additional Education	51		DID YOU KNOW?	
Top Skills Employers Want Most	54		The Middle Class Shrinks	77
How to Interview Over a Meal	61		Money Websites	85
How to Deal with Rejection	66		Ratios for Evaluating One's Financial Progress	87
ADVICE FROM A SEASONED PRO...			You Must "Think Single" in Money Matters	102
Career Advancement Tips	56		Hit These Financial Marks While You Are in Your Thirties	105
Common Job Interview Mistakes	60		ADVICE FROM A SEASONED PRO...	
What to Do When You Lose Your Job	67		Get-Tough Ways to Cut Spending	99
DECISION MAKING WORKSHEET			Secrets of Super Savers	102
What Is Your Work-Style Personality?	45		COMMON SENSE	
Keeping Track of Your Job Search	57		Before You Buy, Ask Yourself These Questions	88
COMMON SENSE			BIAS TOWARD Thinking Negatively	83
Curiosity Gets You the Job	43			
Ninety Percent of Work Is Simply Showing Up	46			
You May Be a Trial Hire	46			
Incomes and Education	49			
BIAS TOWARD Underestimating Incomes	49			
RUN THE NUMBERS				
Assessing the Benefits of a Second Income	52			
MONEY WEBSITES	58			
NEVER EVER Go to a Job Interview Unprepared!	60			
NEVER EVER	62			

NEVER EVER <i>Get Stressed About Money!</i>	92
NEVER EVER	104
NUMBERS ON <i>Financial Statements, Tools, and Budgets</i>	104
YOUR GRANDPARENTS SAY <i>“Cut the Dollars AND the Pennies”</i>	94
TURN BAD HABITS INTO GOOD ONES	105
THERE IS AN APP FOR THAT!	93

PART 2 MONEY MANAGEMENT 113

CHAPTER 4

Managing Income Taxes 114

4.1 Progressive Income Taxes and the Marginal Tax Rate	116
4.1a The Progressive Nature of the Federal Income Tax	116
4.1b The Marginal Tax Rate Is Applied to the Last Dollar Earned	117
4.1c Use Your Marginal Tax Rate to Help Make Financial Decisions	118
4.1d Your Effective Marginal Tax Rate Is Higher	119
4.1e Your Average Tax Rate Is Less than Your Marginal Tax Rate	119
4.1f Income and Wealth Inequality in the United States	119
4.2 Seven Steps In Calculating Your Income Taxes	121
4.2a Determine Your Total Income	122
4.2b Determine and Report Your Gross Income After Subtracting Exclusions	124
4.2c Subtract Adjustments to Income	125
4.2d Subtract Either Your Itemized Deductions or the IRS’s Standard Deduction for Your Tax Status	126
4.2e Determine Your Preliminary Tax Liability	129
4.2f Subtract Tax Credits for Which You Qualify	130
4.2g Calculate Your Final Tax Liability	130
4.2h Calculate the Balance Due the IRS or the Amount of Your Refund	130
4.2i What Tax Form and Schedules Do You Use to File?	130
4.2j You Should File Your Return on Time	133
4.2k The Best Tax Guides, Apps, and Other Help	134
4.2l File Your Income Taxes Electronically for Free and Get Your Refund Within Days	134
4.2m People Pay Their Income Tax Liability in One or Two Ways	135
4.3 Strategies to Reduce Your Income Taxes	135
4.3a Strategy: Practice Legal Tax Avoidance, Not Tax Evasion	135
4.3b Strategy: Reduce Taxable Income via Your Employer	135
4.3c Strategy: Prune Taxable Investments	137

4.3d Strategy: Make Tax-Sheltered Investments	137
4.3e Strategy: Defer Income	139
4.3f Strategy: Accelerate Deductions	139
4.3g Strategy: Take All of Your Legal Tax Deductions	139
4.3h Strategy: Shift Income to a Child and the Kiddie Tax	140
4.3k Strategy: Buy and Manage a Real Estate Investment	140
4.3l Strategy: Take the Pass-Through Deduction on Business Income	141

DID YOU KNOW?

<i>How to Determine Your Federal Marginal Tax Rate</i>	119
<i>The USA Is Already a Low-Tax Country</i>	120
<i>Do Not Let Someone Else Prepare Your Taxes</i>	130
<i>About the Alternative Minimum Tax</i>	133
<i>Don’t Pay the IRS First</i>	137
<i>Create Future Tax-Free Income with Your Refund</i>	137

ADVICE FROM A SEASONED PRO...

<i>A Side Business Can Reduce Your Income Taxes</i>	127
<i>Buy a Home to Reduce Income Taxes</i>	140

NUMBERS ON <i>Income Taxes</i>	134
---------------------------------------	-----

CHAPTER 5

Managing Checking and Savings Accounts 146

5.1 What Is Monetary Asset Management?	148
5.1a Who Provides Monetary Asset Management Services?	148
5.2 Open Checking and Money Market Accounts	151
5.2a Checking Accounts	151
5.2b Money Market Accounts	157
5.2c Savings Accounts	157
5.2d Certificates of Deposit	159
5.3 Establish Ownership of Assets Wisely	160
5.4 Electronic Money Management	161
5.4a Why Use Electronic Money Management?	161
5.4b Cards Used to Access Your Money	162
5.4c Liability Limits for Lost or Stolen Debit Cards	163
5.4d EFT Error Resolution Process	163
5.4e Avoid Automatic Billing, Renewal and Subscription Services	164
5.4f Protect Your Privacy	164
5.4g Bitcoin Is a “Fad” Virtual Currency	164
5.5 The Psychology of Money Management	165
5.5a Managing Money and Making Financial Decisions Are Different	165
5.5b People Connect Strong Emotions to Money	166
5.5c How to Talk About Financial Matters	166

5.5d	Complications Brought by Remarriage	168	6.3f	Improving Your Credit History Improves Your Credit Score	185
5.5e	Check Your Overall Financial Health Online	169	6.3g	A Free Credit Report Is Yours Every Four Months	186
DID YOU KNOW?			6.3h	FICO Credit Scores	186
	<i>Chat Bots Are Everywhere</i>	150	6.3i	Credit Monitoring Is a Waste of Money	187
	<i>ATM Fees Reach Record Highs</i>	154	6.3j	How to Fix Errors in Your Credit Report	187
	<i>How to Reconcile Your Checking Account</i>	155	6.3k	Time Limits on Adverse Information in Credit Reports	188
	<i>Asset Management Accounts</i>	160	6.3l	Another Person's Credit History	188
ADVICE FROM A SEASONED PRO...			6.3m	Effects of Divorce on Your Credit	188
	<i>When "Free Checking" Isn't Free!</i>	151	6.4	Dealing With Overindebtedness	188
	<i>Avoiding Overdraft Fees</i>	152	6.4a	11 Signs of Overindebtedness	189
	<i>Do Not Pay for an Idle Bank Account</i>	153	6.4b	Federal Law Regulates Debt Collection Practices	190
	<i>Why Interest Rates Change</i>	157	6.4c	Ways to Get Out from Under Excessive Debt	190
	<i>Start Your Emergency Savings Fund Now</i>	158	6.4d	Bankruptcy as a Last Resort	192
	<i>Never Open an Electronic Communication from a Bank</i>	159	DID YOU KNOW?		
	<i>How to Develop Money Sense in Children</i>	167		<i>Are You Worried About Your Debts?</i>	181
	<i>Wisely Save Money for Children's Education in a 529 Plan</i>	169	ADVICE FROM A SEASONED PRO...		
COMMON SENSE				<i>Debt Crowds Out the Future</i>	179
	<i>Pay Bills Online</i>	153		<i>Freedom from Discrimination Is the Law</i>	186
	<i>Manage Your Checking Account Correctly</i>	154	COMMON SENSE		
	<i>People Don't Save Because They Fear Change</i>	158		<i>What to Do Before You Apply for Credit</i>	184
BIAS TOWARD	<i>The Familiar</i>	153	YOUR GRANDPARENTS SAY		
NUMBERS ON	<i>Bank Fees</i>	155		<i>"Debt Stops Your Financial Progress"</i>	179
TURN BAD HABITS INTO GOOD ONES		156	RUN THE NUMBERS		
YOUR GRANDPARENTS SAY	<i>"Save Automatically"</i>	159		<i>Make Spending Reductions to Pay for Increasing Credit Usage</i>	182
MONEY WEBSITES		150	BIAS TOWARD	<i>Overconfidence</i>	183
THERE IS AN APP FOR THAT!		163	NUMBERS ON	<i>Average Debt</i>	184
NEVER EVER		166	THERE IS AN APP FOR THAT!		188
CHAPTER 6			NEVER EVER	<i>Reaffirm a Debt</i>	189
Building and Maintaining Good Credit		176	NEVER EVER		191
6.1 Advantages and Disadvantages of Using Credit		178	TURN BAD HABITS INTO GOOD ONES		191
6.1a	Advantages of Using Credit	178	CHAPTER 7		
6.1b	Disadvantages of Using Credit	179	Credit Cards and Consumer Loans		198
6.1c	Identity Theft	179	7.1 Credit Cards and Other Types of Open-End Credit		200
6.2 Three Ways to Set Your Own Debt Limit		180	7.1a	Open-End Credit	200
6.2a	Method 1: Continuous-Debt Method	181	7.1b	Two Types of Organizations Issue Open-End Credit	201
6.2b	Method 2: Debt Payments-to-Disposable Income Method	181	7.1c	Revolving Lines of Credit	202
6.2c	Method 3: Debt-to-Income Method	181	7.2 Managing Credit Cards Wisely		203
6.2d	Keep Student Loan Debt Under Control	181	7.2a	Credit Statements	204
6.3 Obtaining Credit and Building a Good Credit Reputation		183	7.2b	Computation of Finance Charges	206
6.3a	The Credit Application and Credit Report	183	7.2c	Liability for Lost or Stolen Cards	206
6.3b	Prescreened, Invitation-to-Apply, or Preapproved	184	7.2d	Correcting Errors on Your Credit Card Statement	208
6.3c	The Lender Decides on the Application	184	7.3 Sources of Consumer Loans		210
6.3d	Lenders Decides on the Interest Rate	185			
6.3e	How to Build Your Foundation for a Good Credit History	185			

7.4 Installment Loans	210
7.4a The Loan Contract	211
7.4b Unsecured and Secured Loans	211
7.4c Variable-Rate or Fixed-Rate Loans	213
7.4d Alternative Lenders Offer High-Priced Loans	213
7.5 Calculating Interest on Consumer Loans	214
7.5a Calculating an Installment Loan Payment	214
7.5b Calculation of the Finance Charges and APR for Installment Loans	216
DID YOU KNOW?	
<i>Card Blocking Exists</i>	202
<i>Paying Cash Instead of Using a Credit Card Might Save You Money</i>	202
ADVICE FROM A SEASONED PRO...	
<i>Smart Cards Do Just About Everything</i>	203
<i>Which Rewards Credit Card Is Best</i>	206
<i>Teaser Rates on Credit Cards</i>	207
<i>Card Registration Services Are Unnecessary</i>	207
<i>Credit Card Insurance Is Overpriced</i>	208
<i>Credit Cards Cause Stress</i>	212
<i>Avoid the 30-Year Minimum Payment Trap</i>	215
COMMON SENSE	
<i>Avoid Credit Card Offers by Opting Out</i>	205
<i>Good and Bad Debt</i>	212
YOUR GRANDPARENTS SAY	
<i>“Don’t Use Credit Cards”</i>	205
NUMBERS ON Credit	213
BIAS TOWARD An Easy Solution	214
THERE IS AN APP FOR THAT!	208
NEVER EVER	209
NEVER EVER	218
MONEY WEBSITES	211
TURN BAD HABITS INTO GOOD ONES	218

CHAPTER 8

Vehicle and Other Major Purchases 224

8.1 Before You Buy Do Your Homework	226
8.1a Prioritize Your Wants	226
8.1b Conduct Preshopping Research	227
8.1c Fit Your Budget to the Purchase	229
8.2 Comparison Shop to Find the Best Buy	231
8.2a Comparison Shop for a Vehicle and Think Carefully	231
8.2b Comparison Shop for a Safe Vehicle	233
8.2c Comparison Shop by Window Shopping	233
8.2d Comparison Shop for Financing	234
8.2e Comparison Shop Between Financing and Leasing	237
8.2f Comparison Shop for Warranties	240

8.3 Negotiate Successfully	242
8.3a Successful Negotiators Are Armed with Information	242
8.3b Make the Decision at Home Using a Decision-Making Matrix	244
8.3c Finalizing a Car Deal	245
8.3d Evaluate Your Decision	246
8.4 Complain When Appropriate	246
8.4a Cancel a Contract Using the Cooling-Off Rule, If It Applies	246
8.4b Mediation and Arbitration	246
8.4c Lemon Laws	247
8.4d Small-Claims Court	247

DID YOU KNOW?

<i>Subprime Lending Is Rising</i>	235
<i>It’s Possible to Get Out of a Lease Early</i>	239
<i>The Buyer’s Remorse “Legal Right” on Vehicles Is False</i>	245

ADVICE FROM A SEASONED PRO...

<i>Insurance and Maintenance Costs on Vehicles</i>	230
<i>How Many Hours of Work Will This Cost?</i>	231
<i>Make a List for Every Important Decision</i>	232
<i>Avoid Balloon Loans</i>	235
<i>Buy a Used Car and Save for a Home or Retirement</i>	242

YOUR GRANDPARENTS SAY “Buy a Used Vehicle”

RUN THE NUMBERS	
<i>Dealer Financing or Rebate?</i>	236
<i>Finance or Lease?</i>	238

THERE IS AN APP FOR THAT! 243

NEVER EVER Lease Just to Drive a Better Vehicle 239

NEVER EVER 246

NUMBERS ON 234

BIAS TOWARD Overconfidence 240

MONEY WEBSITES 242

TURN BAD HABITS INTO GOOD ONES 247

CHAPTER 9

Obtaining Affordable Housing 254

9.1 Should You Rent or Buy Your Home?	256
9.1a Renting Housing Is Less Expensive in the Short Term	256
9.1b Tenants Have Rights Even in the Absence of a Written Lease	257
9.1c Owned Housing Is Less Expensive in the Long Term	258
9.1d So Who Pays More—Renters or Owners?	259
9.2 What Does It Cost to Buy a Home?	261
9.2a Pay Up-Front Costs at the Closing	262
9.2b Your Monthly Costs Include Both Principal and Interest	264

9.2c	Taxes and Insurance Are Paid Both Up Front and Monthly	266
9.2d	Make a Decision to Buy (If It Makes Sense) Based on All Costs	266
9.3	The Steps in Home Buying	267
9.3a	1. Get Your Finances in Order	267
9.3b	2. Get Preapproved for a Mortgage	269
9.3c	3. Search for a Home Online and in Person	271
9.3d	4. Agree to Terms with the Seller	273
9.3e	5. Formally Apply for a Mortgage Loan	275
9.3f	6. Prepare for the Closing	276
9.3g	7. Sign Your Name on Closing Day	277
9.3h	8. Buying a Foreclosed Property	277
9.4	Financing a Home	278
9.4a	The Mathematics of Mortgage Loans	278
9.4b	Three Factors That Affect the Mortgage Payment	280
9.4c	Conventional Mortgage and Adjustable Mortgage Loans	282
9.4d	Other Housing Financing Arrangements	283
9.5	Selling a Home	286
9.5a	Should You List with a Broker or Try to Sell a Home Yourself?	286
9.5b	Selling Carries Its Own Costs	286
DID YOU KNOW?		
	<i>One-Third of Millennials Live with Their Parents</i>	259
	<i>How Much Income Do You Need to Qualify for a Mortgage?</i>	272
ADVICE FROM A SEASONED PRO...		
	<i>Cancel Mortgage Insurance as Soon as Possible</i>	265
	<i>Buy a Home if the Numbers Work Out</i>	267
	<i>Singles Can Afford to Buy a Home</i>	270
COMMON SENSE		
	<i>Make Sure Your Damage Deposit Is Returned</i>	257
	<i>Pay an Extra 10 Percent Toward Your Mortgage</i>	284
RUN THE NUMBERS		
	<i>Should You Buy or Rent?</i>	260
	<i>When You Should Refinance Your Mortgage</i>	285
YOUR GRANDPARENTS SAY		
	<i>"Take Some Old Furniture"</i>	261
THERE IS AN APP FOR THAT!		269
TURN BAD HABITS INTO GOOD ONES		270
NUMBERS ON <i>Housing</i>		273
BIAS TOWARD <i>Having the Best</i>		273
MONEY WEBSITES		277
NEVER EVER <i>Use Found Money to Buy Too Much Home</i>		283
NEVER EVER		284
THE TAX CONSEQUENCES OF BUYING A HOME		274

PART 3 INCOME AND ASSET PROTECTION 293

CHAPTER 10

Managing Property and Liability Risk 294

10.1	Risk and Risk Management	296
10.1a	People Often Misunderstand the Concept of Risk	296
10.1b	Apply the Risk-Management Process	296
10.2	Understanding How Insurance Works	298
10.2a	Hazards Make Losses More Likely to Occur	299
10.2b	Only Fortuitous and Financial Losses Are Insurable	299
10.2c	The Principle of Indemnity Limits Insurance Payouts	299
10.2d	Ways to Pay Less for Insurance and Still Maintain Sufficient Coverage	300
10.2e	Risk Is Reduced for the Insurer Through the Law of Large Numbers	300
10.2f	Each Insured Benefits Even if One Does Not Suffer a Loss	301
10.2g	How Companies Select Among Insurance Applicants	301
10.2h	Who Sells Insurance?	302
10.3	Homeowner's Insurance	302
10.3a	Coverages	302
10.3b	Types of Homeowner's Insurance Policies	303
10.3c	Buying Homeowner's Insurance	306
10.4	Automobile Insurance	310
10.4a	Losses Covered	311
10.5	Buy Specialized Protection for Other Loss Exposures	317
10.5a	Umbrella Liability Insurance	317
10.5b	Flood and Earthquake Insurance	317
10.5c	Professional Liability Insurance	318
10.5d	Floater	319
10.6	How to Collect on Your Property and Liability Losses	319
10.6a	1. Contact Your Insurance Agent About Your Loss	319
10.6b	2. Document Your Loss	319
10.6c	3. File Your Claim	320
10.6d	4. Sign a Release	320
DID YOU KNOW?		
	<i>How to Read an Insurance Policy</i>	301
	<i>Auto Premiums Are Based On Your Credit Report</i>	314
	<i>How Automobile Insurance Would Apply to an Accident</i>	315
	<i>Steps to Reduce Your Auto and Homeowner's Insurance Costs</i>	316

ADVICE FROM A SEASONED PRO...

<i>Applying the Large-Loss Principle to Property and Liability Insurance</i>	306
<i>Renter's Insurance Is a Must</i>	307
<i>What Insurance Covers While at College</i>	309
<i>Financial Responsibility Laws Do Not Work</i>	310

YOUR GRANDPARENTS SAY

<i>"Getting a Dog Means Buying Insurance"</i>	303
---	-----

BIAS TOWARD <i>Underestimating Risk</i>	297
--	-----

NEVER EVER	311
-------------------	-----

NEVER EVER <i>Forget to Compare Vehicle Insurance Rates</i>	316
--	-----

THERE IS AN APP FOR THAT!	312
----------------------------------	-----

NUMBERS ON <i>Auto Accidents</i>	314
---	-----

TURN BAD HABITS INTO GOOD ONES	320
---------------------------------------	-----

MONEY WEBSITES	320
-----------------------	-----

CHAPTER 11**Planning for Health Care Expenses 328****11.1 The Affordable Care Act and You 330**

11.1a The USA System of Health Care Is the Most Expensive in the World	330
11.1b Health Care Today in the USA	330
11.1c The Affordable Care Act	331
11.1d The ACA Does Not Impact Those Who Already Have Insurance	331
11.1e The ACA Impacts Those Without Health Insurance	331
11.1f The ACA Provides Benefits, Rights, and Protections	332
11.1g Ten Essential Benefits of All New Health Care Plans	332
11.1h Paying for the Cost of ACA Health Insurance	334
11.1i How Subsidy Tax Credits Work Under the ACA	335
11.1j Health Care Plans on the Government Exchanges	336
11.1k Out-of-Pocket Maximum	337

11.2 Types of Health Care Plans 337

11.2a Employer-Provided Group Health Care Plans	338
11.2b Government Programs	340

11.3 Your Health Plan Benefits and Limits 342

11.3a What Types of Care Are Covered?	343
11.3b Who Is Covered?	343
11.3c How Much Is the Premium?	343
11.3d Making Changes in Health Care Plans	344

11.4 Planning for Long-Term Custodial Care 344**11.5 Disability Income Insurance 346**

11.5a Eligible Workers Collect Social Security Disability Income	346
11.5b Who Needs Disability Insurance?	347
11.5c What Is Your Level of Need?	347
11.5d What Policy Provisions Best Meet Your Needs?	348

11.6 Advance Directive Documents 349

11.6a A Living Will Specifies End-of-Life Medical Treatments	349
11.6b A Health Care Proxy Designates Someone to Make Health Care Decisions	349
11.6c A Durable Power of Attorney Appoints Someone to Handle Legal and Personal Finances	350

DID YOU KNOW?

<i>Protections and Benefits of the Affordable Care Act</i>	333
<i>Defined Contribution Health Care Plans Replacing Employer-Provided Health Insurance</i>	340
<i>Out-of-Pocket Costs Are Killing the Middle Class</i>	344

ADVICE FROM A SEASONED PRO...

<i>Maintain Your Health Care Plan Between Jobs</i>	341
--	-----

YOUR GRANDPARENTS SAY

<i>"Discuss Health With Us"</i>	346
---------------------------------	-----

NEVER EVER <i>Go Without Health Care Insurance</i>	340
---	-----

NEVER EVER	345
-------------------	-----

RUN THE NUMBERS

<i>Determining Disability Income Insurance Needs</i>	348
--	-----

BIAS TOWARD <i>Minimizing Losses</i>	348
---	-----

NUMBERS ON <i>Health</i>	336
---------------------------------	-----

THERE IS AN APP FOR THAT!	343
----------------------------------	-----

MONEY WEBSITES	347
-----------------------	-----

TURN BAD HABITS INTO GOOD ONES	350
---------------------------------------	-----

CHAPTER 12**Life Insurance Planning 356****12.1 How Much Life Insurance Do You Need? 358**

12.1a What Financial Needs Must Be Met upon Your Death?	358
12.1b Three Ways You Can Meet These Financial Needs	359
12.1c What Dollar Amount of Life Insurance Do You Need?	359

12.2 There Are Only Two Types of Life Insurance 364

12.2a Term Life Insurance Is Pure Protection	364
12.2b Some Cash-Value Life Insurance Has a Fixed Return	365
12.2c Some Cash-Value Life Policies Earn a Variable Return	367

12.3 Understanding Your Life Insurance Policy	369
12.3a Policy Terms and Provisions Unique to Life Insurance	369
12.3b Policy Features Unique to Cash-Value Life Insurance	371
12.3c Settlement (or Payout) Options Specify How to Pay the Death Benefit	373
12.3d Delete “Mom” as the Beneficiary on Life Insurance Policies	373
12.4 How to Buy Life Insurance	374
12.4a Integrate Your Life Insurance into Your Financial Plan	374
12.4b Buy Life Insurance from a Financially Strong Company	375
12.4c Fair Prices for Term Life Insurance	375
12.4d When Buying Life Insurance Get a Great Price Online	377
12.4e Or Contact a Local Insurance Agent	377
12.4f Sales Commissions Can Amount to 90 Percent of the Annual Premium	378
12.4g Signs of an Unethical Life Insurance Agent	378
DID YOU KNOW?	
<i>The Tax Consequences of Life Insurance</i>	365
<i>How Insurance Policies Are Organized</i>	370
<i>Life Insurance Is Cheap But Half Take a Pass</i>	378
ADVICE FROM A SEASONED PRO...	
<i>If I Die Tomorrow, Who Is at Risk?</i>	363
<i>Don't Be Fooled by Return-of-Premium Claims</i>	365
<i>Buy Term Insurance and Invest the Rest</i>	376
COMMON SENSE	
<i>Buying Life Insurance Versus Investing</i>	360
<i>Both Partners Need a Life Insurance Plan</i>	360
<i>Life Insurance Is NOT an Investment</i>	364
<i>Smokers Pay Much More Than Non-Smokers</i>	377
RUN THE NUMBERS	
<i>The Needs-Based Approach to Life Insurance</i>	362
NEVER EVER <i>Pay Premiums Quarterly</i>	366
NEVER EVER	373
BIAS TOWARD <i>Avoiding Difficult Subjects</i>	367
NUMBERS ON <i>Life Insurance</i>	371
MONEY WEBSITES	372
TURN BAD HABITS INTO GOOD ONES	378
YOUR GRANDPARENTS SAY	
<i>“Ask About Commissions”</i>	378
THERE IS AN APP FOR THAT!	379

PART 4 INVESTMENTS	385
CHAPTER 13	
Investment Fundamentals	386
13.1 Starting Your Investment Program	388
13.1a Before You Invest	388
13.1b Prioritize Your Investing Goals	388
13.1c Get the Money to Invest	389
13.1d Investing Is More Than Saving	389
13.1e What Long-Term Investment Returns Are Possible?	389
13.1f Capital Gains Plus Dividends Equals One's Total Return	389
13.1g Your Investing Future Looks Promising	391
13.1h Creating Wealth Just Takes Starting Early	391
13.2 Identify Your Investment Philosophy and Invest Accordingly	391
13.2a You Must Learn to Handle Investment Risk	391
13.2b Investors Demand a Risk Premium	392
13.2c What Is Your Investment Philosophy?	392
13.2d Should You Take an Active or Passive Investing Approach?	394
13.2e Identify the Kinds of Investments You Want to Make	394
13.2f Deal Only with Financial Advisors Who Are Fiduciaries	396
13.3 Risks and Other Factors Affect the Investor's Return	396
13.3a Random Risk Is Reduced by Diversification, Eventually	396
13.3b Market Risk	397
13.3c Types of Investment Risks	397
13.3d Transaction Costs Reduce Returns	398
13.3e Leverage May or May Not Increase Returns	399
13.4 Accept the Realities of the Market and Avoid Investing Mistakes	399
13.4a Long-Term Investors Understand Bull and Bear Markets and Corrections	399
13.4b Long-Term Investors Accept Substantial Market Volatility	400
13.4c Long-Term Investors Do Not Practice Market Timing	401
13.4d Long-Term Investors Avoid Trading Mistakes	401
13.4e Market Timing Loses Money	402
13.4f Avoid Herd Behavior	403
13.4g Ignore 24-Hour Financial News Chatter	404

13.5 Four Safe and Effective Strategies for Long-Term Investors	404	14.2c Some Investors Use Technical Analysis to Evaluate Stocks	425
13.4a Strategy 1: Buy-and-Hold Anticipates Long-Term Economic Growth	404	14.2d Evaluate Stocks Using Corporate Earnings	426
13.4b Strategy 2: Portfolio Diversification Reduces Portfolio Volatility	405	14.2e Calculating a Stock's Potential Rate of Return in Five Steps	428
13.4c Strategy 3: Dollar-Cost Averaging Buys at "Below-Average" Costs	405	14.3 Use the Internet to Evaluate and Select Stocks	431
13.4d Strategy 4: Asset Allocation Keeps You in the Right Investment Categories for Your Time Horizon	408	14.3a Begin by Setting Criteria for Your Stock Investments	431
13.6 Creating Your Own Investment Plan	412	14.3b Investor Education Is Widely Available Online	432
DID YOU KNOW?		14.3c Why Use Online Stock Calculators?	432
<i>Calculate the Real Rate of Return (After Taxes and Inflation) on Investments</i>	394	14.3d Set Up Your Portfolio Online	432
<i>Money Websites for Investment Fundamentals</i>	402	14.3e Use Stock-Screening Tools	432
<i>Create Your Financial Plan on the Web</i>	413	14.3f Get a Sense of the History of a Stock	433
ADVICE FROM A SEASONED PRO...		14.3g Go to the Source for Company Information	433
<i>Don't Get Scared Out of Buying Stocks and Stock Mutual Funds</i>	390	14.3h Use Stock Analysts' Research Reports	434
<i>Use a Dividend-Reinvestment Plan to Dollar-Cost Average</i>	408	14.3i Read Research Newsletters	434
<i>When to Sell an Investment</i>	411	14.3j Be Aware of Economic Trends	434
COMMON SENSE		14.3k Pay Attention to Securities Market Indexes	434
<i>The Best Time to Invest</i>	397	14.3l Securities Exchanges (Stock Markets)	436
<i>Consider Be 100 Percent Invested in Stocks</i>	409	14.3m Looking Up a Stock Price	437
YOUR GRANDPARENTS SAY		14.3n Using Portfolio Tracking to Watch Your Investments	438
<i>"Get Out of the Market at Your Peril"</i>	391	14.4 Buying and Selling Stocks	439
NEVER EVER <i>Invest Too Conservatively</i>	393	14.4a Opening a Brokerage Account	439
NEVER EVER	413	14.4b Broker Commissions and Fees	440
BIAS TOWARD <i>Chasing Hot Investments</i>	401	14.4c Check the Background of Your Stockbroker or Investment Advisor	441
THERE IS AN APP FOR THAT!	401	14.4d How to Order Stock Transactions	442
NUMBERS ON <i>Investment Fundamentals</i>	403	14.4e Margin Buying and Selling Short Are Risky Trading Techniques	442
TURN BAD HABITS INTO GOOD ONES	413	14.5 Investing in Bonds	444
THE TAX CONSEQUENCES IN INVESTMENT FUNDAMENTALS	400	14.5a Corporate Bonds	446
CHAPTER 14		14.5b Government Securities	447
Investing in Stocks and Bonds	418	14.5c Evaluating Bond Prices and Returns	447
14.1 The Role of Stocks and Bonds in Investments	420	14.5d Pricing a Bond in Today's Market	449
14.1a Common Stock	420	DID YOU KNOW?	
14.1b Preferred Stock	421	<i>Crowd Funding for Startup Companies</i>	423
14.1c Bonds	421	<i>About Employee Stock Options</i>	428
14.1d An Illustration of Stocks and Bonds: Running Paws Cat Food Company	422	<i>Regulations Help Protect Against Investment Fraud</i>	440
14.2 How to Evaluate Common Stocks	424	<i>Check Bond Performance Online</i>	447
14.2a Use Beta to Compare a Stock to Similar Investments	425	DID YOU KNOW?	452
14.2b Most Investors Use Fundamental Analysis to Evaluate Stocks	425	TURN BAD HABITS INTO GOOD ONES	452
		ADVICE FROM A SEASONED PRO...	
		<i>Rules of Thumb on How to Invest</i>	439
		<i>Day Trading Is Risky</i>	441
		<i>Zero-Coupon Bonds Pay Phantom Interest</i>	444
		COMMON SENSE	
		<i>Get Dividends If You Want Investment Income</i>	427
		NEVER EVER <i>Fail to Invest</i>	421
		NEVER EVER	443
		YOUR GRANDPARENTS SAY <i>"Be Prepared to Lose"</i>	434
		NUMBERS ON <i>Stocks and Bonds</i>	438

MONEY WEBSITES	425	ADVICE FROM A SEASONED PRO...	
THERE IS AN APP FOR THAT!	432	<i>Invest Only “Fun Money” Aggressively</i>	470
TURN BAD HABITS INTO GOOD ONES	452	COMMON SENSE	
THE TAX CONSEQUENCES OF INVESTING IN STOCKS AND BONDS	443	<i>How to Ease into Investing Cautiously</i>	481
CHAPTER 15		YOUR GRANDPARENTS SAY “Minimize Expenses”	473
Mutual and Exchange Traded Funds	460	NEVER EVER <i>Keep Too Many Investment Accounts</i>	477
15.1 Why Invest in Mutual Funds?	462	NEVER EVER	480
15.1a The Net Asset Value Is the Price You Pay for a Mutual Fund Share	463	TURN BAD HABITS INTO GOOD ONES	478
15.1b Mutual Fund Dividend Income and Capital Gains Distributions	463	BIAS TOWARD <i>Worrying About the Wrong Things</i>	474
15.1c Mutual Fund Services	465	MONEY WEBSITES	467
15.1d Mutual and Exchange Traded Funds Are Similar	465	THERE IS AN APP FOR THAT!	477
15.2 Mutual Fund Objectives	466	NUMBERS ON <i>Mutual Fund Investing</i>	478
15.2a Income Objective	467	CHAPTER 16	
15.2b Growth Objective	468	Real Estate and High-Risk Investments	488
15.2c Growth and Income Objective	470	16.1 How to Make Money Investing in Real Estate	490
15.3 Mutual Fund Investing Fees and Charges	471	16.1a What to Do Before Investing in Real Estate	491
15.3a Ongoing Expenses	471	16.1b Question 1: Can You Make Current Income While You Own?	491
15.3b Sales Loads	471	16.1c Question 2: Can You Profit When You Sell the Property?	493
15.3c Mutual Fund Share Classes—Designed to Confuse—Are Sold to You	473	16.2 Take Advantage of Beneficial Tax Treatments	493
15.3d Use FINRA’s Website to Compare Mutual Fund Fees	473	16.2a 1. Depreciation Is a Tax Deduction	493
15.3e What’s Best: Load or No Load? Low Fee or High Fee?	473	16.2b 2. Interest Is Also a Tax Deduction	494
15.3f Invest in Index Mutual Funds and ETFs for the Lowest Fees	474	16.2c 3. Capital Gains Are Taxed at Very Low Rates	495
15.4 How to Select the Funds in Which You Should Invest	475	16.2d 4. Exchange of Properties Can Be Tax Free	495
15.4a 1. Review Your Investment Philosophy	477	16.2e 5. Taxes Can Be Lower on Vacation Home Rental Income	495
15.4b 2. Review Your Investment Goals	477	16.3 Pricing and Financing Real Estate Investments	496
15.4c 3. Eliminate Funds Inappropriate for Your Investment Goals	477	16.3a Pay the Right Price	496
15.4d 4. Choose Low Load or No Load Funds	477	16.3b Financing a Real Estate Investment	498
15.4e 5. Determine if Investment Advice Is Needed	477	16.4 Disadvantages of Real Estate Investing	499
15.4f 6. Screen and Compare Funds That Meet Your Investment Criteria	480	16.5 Investing in Collectibles, Precious Metals, and Gems	502
15.4g 7. Monitor Your Mutual Fund Portfolio	481	16.5a Collectibles	503
DID YOU KNOW?		16.5b Gold and Other Precious Metals	504
<i>Types of Investment Companies</i>	466	16.5c You Can Invest in Gold in Several Ways	504
<i>Bond Funds Drop in Value When Interest Rates Rise</i>	468	16.5d Investing in Other Metals—Silver, Platinum, Palladium, and Rhodium	505
<i>Smart-Beta ETFs May Take the Place of Actively Managed Funds</i>	474	16.5e Precious Stones and Gems	506
<i>The Tax Consequences of Mutual Fund Investing</i>	480	16.5f Speculate by Trading in Currencies	506
		16.5g Penny Stocks Are Worth About a Penny	506
		16.5h Scams Abound in Collectibles, Precious Metals, and Gems	506

16.6 Investing in Options and Commodity Futures Contracts	507	17.3 Some Realities of Retirement	531
16.6a Options Allow You to Buy or Sell an Asset at a Predetermined Price	507	17.3a People Have Bills and Are Living Only for Today	531
16.6b Buying and Selling Commodities Futures Contracts	508	17.3b Borrowing from Their 401(k) Plan	531
DID YOU KNOW? <i>About Hedge Funds</i>	509	17.3c Saving for the Kid's College Education Instead of Retirement	532
ADVICE FROM A SEASONED PRO...		17.3d More Than Half Will Be Forced to Retire Early	532
<i>Find Home Prices in Seconds</i>	497	17.3e Living Longer Than Planned	532
<i>Timesharing Is a Financial Disaster as an Investment</i>	498	17.3f Required Minimum Distributions Start at 72	533
<i>Screen Rental Applicants and Tenants Yourself</i>	500	17.3g Beneficiary Designations Matter	533
<i>Ways to Make \$1 Million</i>	500	17.3h If You Don't Save for Retirement	533
NEVER EVER <i>Fail to Take Risks When Investing</i>	497	17.4 Understanding your Social Security Retirement Income Benefits	534
NEVER EVER	508	17.4a Your Taxes Pay Social Security and Medicare Benefits	535
YOUR GRANDPARENTS SAY		17.4b It Takes 10 Years to Qualify for Full Social Security Retirement Benefits	535
<i>"What Makes a Good Investor"</i>	506	17.4c Obtain an Estimate of Your Social Security Retirement Benefits	536
NUMBERS ON <i>Real Estate and High-Risk Investments</i>	507	17.5 Calculate the Amount You Must Save For Retirement	537
BIAS TOWARD <i>Minimizing Investment Losses</i>	491	17.5a How Much to Save for Retirement?	537
MONEY WEBSITES	508	17.5b Projecting Your Annual Retirement Expenses and Income	538
THERE IS AN APP FOR THAT!	506	17.5c An Illustration of Retirement Needs	538
TURN BAD HABITS INTO GOOD ONES	509	17.5d Suggestions to Fully Fund Erik's Retirement Goal	540
THE TAX CONSEQUENCES OF AN INCOME-PRODUCING REAL ESTATE INVESTMENT	501	17.5e Think About Buying Your Retirement on the Layaway Plan	541
CHAPTER 17		17.5f You Really Can "Find" Money to Start Saving for Retirement	541
Retirement and Estate Planning	514	17.5g How to Get the Money to Save	541
17.1 The Two Types of Employer-Sponsored Retirement Plans	516	17.6 Avoid Penalties and not Outlive your Money	542
17.1a How Employer-Sponsored Retirement Accounts Work	517	17.6a Avoid Withdrawing Retirement Money Early	542
17.1b How Long Before the Compounding of Tax-Deferred Earnings Exceed Contributions?	518	17.6b Some Penalty-Free Withdrawals Exist	543
17.1c ERISA Regulates Employer-Sponsored Retirement Plans	518	17.6c Figure Out How Many Years Your Money Will Last in Retirement	544
17.1d Type 1: Defined-Contribution Retirement Plans	519	17.6d Some People Buy an Annuity to "Guarantee" a Portion of Their Retirement Income	544
17.1e Stay Invested When Changing Employers with 401(k) Plans	523	17.7 Estate Planning Includes Distributing Your Assets	547
17.1f Type 2: Defined-Benefit Plans	524	17.7a Start Right Now by Setting Up Most of Your Assets as Nonprobate Property	547
17.1g Monte Carlo Retirement Advice Available to All Investors	526	17.7b Most Assets Are Transferred by Contract	548
17.2 Personally Established Retirement Accounts	528	17.7c The Rest of Your Estate Can Be Transferred via Your Will	548
17.2a Roth IRAs Are the Big Winners Because They Offer Both Tax-Deferred Growth and Tax-Free Withdrawals	528	17.7d Spouses Have Legal Rights to Each Other's Estates	551
17.2b Traditional IRAs Result in Tax-Free Growth and Taxable Withdrawals	530	17.7e Who Should Consider Setting Up a Trust?	552
17.2c Spousal IRA	530	17.7f A Letter of Last Instructions Provides Guidance to Those Left Behind	553
17.2d Retirement Plans for Self-Employed People	530		

17.7g Estate Taxes Impact Only 1,900 People Out of the Nation's 336 Million	553	RUN THE NUMBERS	
17.7h Exemption Amount on Estates Is \$11.4 Million	553	<i>Estimating Your Retirement Savings Goal in Today's Dollars</i>	539
17.7i Gift Tax Exclusion Is \$15,000 Annually	554	NUMBERS ON <i>Retirement and Estate Planning</i>	547
17.7j State Estate Taxes and Inheritance Taxes	554	Appendix A: Present and Future Value Tables	A-2
17.7k Advance Directive Documents	554	Appendix B: Estimating Social Security Benefits	A-11
DID YOU KNOW?		Glossary	G-1
<i>A Cash-Balance Plan Is a Hybrid Employer-Sponsored Retirement</i>	524	Index	I-1
<i>Supplemental Employer-Sponsored Retirement Plans</i>	525		
<i>New State-run Roth IRA Accounts Help Private-Sector Workers</i>	529		
<i>Last Will and Testament of Harry Johnson</i>	550		

Preface

TO THE INSTRUCTOR

This 13th edition of *Personal Finance* has been happily revised, and it sets a high standard in the field. When revising, we once again surprised ourselves: We improved the book a lot! We absolutely loved revising because it is fun and we know how valuable the book is for students. This edition is a winner.

More Pizzazz We got “fired up” when revising because we know instructors want students to actually *read* the book before coming to class. A book must have some pizzazz to keep students reading, so we tried to make the style of writing a bit breezier as we updated the topical coverage. We think this edition has much more zip!

Involves the Student The text genuinely involves the student in learning the subject, particularly through information presented in more than 180 new boxes, enhanced end-of-chapter activities, and innovative “do-it soon” prescriptions from the authors. We are the “Doctors of Personal Finance”—with over 80 combined years of teaching experience, 70 years of writing 40 college textbooks, and authors of 200 refereed research articles.

Learn How to Learn By drawing on our years of experience, we have made the 13th edition more than just a compilation of what to know. In addition to providing the most up-to-date knowledge base in personal finance, we recognize that the role of the instructor has changed from teaching facts to teaching students how to learn. Thus, the book’s many tools show students how to discover and where to find accurate facts and other essentials in personal finance that they need to know. Students need to learn how to replace the old personal finance knowledge they currently possess with the latest knowledge that is new, accurate, and reliable.

The Right Things to Do in Personal Finance *Personal Finance* emphasizes the “right things” to do in personal finance, and why, and then how to do them. Why such an emphasis? Because today’s students—despite their many abilities—need more guidance than those of yesteryear. Personal finance has become much more complicated. Plus, advertising and marketing are nothing less than relentless in their aim to persuade one to buy, buy, and buy stuff as well as to confuse people about who is telling them the “truth.”

Gets Students to Think This book’s many features offer normative, value-laden suggestions on getting ahead in one’s personal finances. It requires the reader to reflect on the facts and opinions presented, the advice they are given, the available choices in their communities and on the Internet, and finally to apply their personal values in their decision-making. In short, *Personal Finance* gets students to contemplate, deliberate, and think!

NOTES TO THE STUDENT

“Personal finance knowledge is obsolete.” It’s over. It’s done for. It’s history. This is great news! But read on because this quote does not mean to skip reading this book.

Obsolete knowledge is that which we believe may have been valid at one time, if it ever was true in the first place. When we are confident about erroneous knowledge we are not motivated to look for new information. As the Jedi master Yoda told Luke Skywalker, “You must unlearn what you have learned.” If you believe the world is changing and recognize that some of your knowledge is obsolete, you can begin to move past your outdated knowledge.

But how? Your response will be your true challenge in learning personal finance *and* applying it to your money matters in the many years of your life. Both are goals of this book.

Making good personal financial decisions for you and your loved ones requires making informed choices. To do this, you must learn the vocabulary of personal finance, consider reasonable prescriptions for success, and then apply your newly acquired beliefs in your everyday decision making. If you do these tasks soon—by reading this book from cover to cover—you absolutely, positively will reap big financial benefits in the future.

Ignore these suggestions at your peril, however, because a lack of financial literacy will guarantee your financial failure. No kidding. That warning is for real. It is not easy to succeed financially, but sometimes it can be challenging. We'll show you how to do it correctly.

Our goal as authors is to provide the knowledge, tools, skills, and attitudes you need to become financially savvy and successful. Along with the textbook, we have developed a full, rich MindTap student resource and a companion website that you can use to learn as much as possible about personal finance as well as develop your own financial plans.

The 13th edition of *Personal Finance* offers confidence to readers about how to succeed financially. Yes, this book provides you with facts—the most up-to-date and best available—and much of the information is evolving and as such it will need to be replaced. *In today's world you need to learn how and where to accurately find the facts you need to know.* Without understanding the basics of personal finance, how could you even know what questions to ask?

This book is very good at giving you the tools to strengthen your knowledge. First, the authors provide you with fundamental knowledge in personal finance, lots of it. You need an excellent base of know-how in personal finance to work with, otherwise you will remain ignorant about some money matters and occasionally you will make small and sometimes big mistakes. Second, we provide a number of tools to guide you through the process of searching the Internet and resources in your community to find the best answers to your personal finance questions. Thus, you need to learn how to learn, and this book aims to help you accomplish that goal.

The 13th edition of *Personal Finance* is the language of today and tomorrow! Successfully handling your money today is important. All the tools—and we mean ALL—are here for you to learn to use to your advantage so you will do well financially throughout life.

You need the best knowledge, tools, and skills to successfully manage your financial resources because so much of the responsibility of financial accomplishment today rests solely upon your shoulders.

While personal finance is not rocket science, it sometimes feels like it. In fact, personal finance actually is not very complicated. But there are a lot of topics in personal finance, so please try to stay focused!

You are lucky because you are holding in your hands the 13th edition of *Personal Finance*. This book carefully lays out your financial “marching orders” for challenging economic times. The mantra of this book is “*What to do, why do it, when to do it, and how to do it.*” We give you “prescriptions” to follow that will guide you to success in your personal finances. If you pay attention, learn, and apply the knowledge contained herein you will enjoy a taste of the good life while still in college, plus you will have enough resources left over to start building an extremely successful financial future.

This 13th edition balances all the pieces of wise financial planning. In addition to updating and enhancing the quality of the content, this edition stimulates student interest in several new ways.

Each chapter of *Personal Finance* starts with a brief case with some questions that ask “*What Do You Recommend?*” And the student usually does not know much at that early point, and that is okay. At the end of the chapter, the question is repeated with “*What Do You Recommend NOW?*” Now the student should know a lot more after

having read the chapter and the learning gained from class discussion. Then they can answer the questions more knowledgeably. Every chapter also contains dozens of Internet website addresses of high-quality sources of information to help replace some of your obsolete knowledge.

Throughout every chapter are prescriptions to achieve personal financial success in the form of box inserts. One such box is titled *“To-Do Soon List.”* These boxes suggest five tasks to accomplish in the next few months or years. Then there is a new box called *“Your Grandparents Say”* that offers tips from those who have lived long and succeeded in their personal finances. There also is a new box titled *“There Is an App for That!”* that lists some good ones and almost all can be used on both Apple and Android devices. This is complemented by updated boxes on the best quality *“Money Websites.”* Another new box series is *“Numbers on”* that highlight important numbers relevant to the subject of each chapter. Finally there are new *“Common Sense”* thoughts for readers to contemplate. Collectively, these boxes are full of prescriptions and insights to help students achieve financial success.

Every chapter also includes lots of interesting *“Did You Know?”* boxes that offer surprises in current understanding. There also is a robust list of concrete suggestions on how to *“Turn Bad Habits INTO Good Ones.”* All chapters have one or more boxes revealing *“Advice From a Seasoned Pro.”* The latter chapters also have boxes on *“The Tax Consequences of (name of chapter)”* to help the reader always think of the impact of income taxes when making financial decisions. The *“Bias Toward”* boxes give the reader a reality check on the behavioral economics biases that plague us into making bad financial decisions, and they also explain how to overcome them. Finally the reader may recall that we told you earlier there are a few things to not do wrong. So, we inserted new *“Never Ever!”* boxes in every chapter that headline what one should absolutely, positively not do in personal finance.

The revised end-of-chapter questions are extremely well organized and are designed to walk you to and through the most important topics in each chapter. The authors want you to learn how to find the best and most reliable sources of new information throughout your life and use it to your advantage.

The end-of-chapter activities begin with a thorough *“Summary of Learning Objectives Recapped.”* Next are several *“Let’s Talk About It”* questions designed to help you and your instructor create some lively class discussions. This is followed by *“Do the Math”* activities that require the student to practice the key mathematical applications in the chapter. Even more down to earth are the five or six *“Financial Planning Cases”* because they make the student think realistically about the information. The continuing case of *“Harry and Belinda”* has been updated and the couple eventually age into their mid-forties. So, too, has the *“Victor and Maria”* case, which now follows them almost into retirement. The other continuing case is that of *“Julia Price,”* whose successful financial life evolves through challenging economic times. Her cases always end with a question to challenge the student: *“Offer your opinions about her thinking.”*

The end-of-chapter questions continue with *“Be Your Own Personal Financial Planner”* that focuses on personalizing the concepts and lessons to your life. The forms and questions are contained in the student workbook, *My Personal Financial Planner*, which can be found on the book’s MindTap. These activities are not busy-work. They are questions and tasks that require applying the knowledge provided in each chapter at a personal level—in your life. All of the *“On the Net”* activities have been designed to carefully direct students to reliable online materials that are truly useful and appropriate to use in your financial life. The end-of-chapter questions close with *“Action Involvement Projects”* that get the reader into their local community or on the Internet to expert sources to help you apply chapter concepts.

This edition connects all the dots in personal finance in a comprehensive manner, shows students the relevancy of the topics, and requires students to carefully think about their own financial lives. As a result, you will achieve genuine success in your personal finances!

Changes in This Edition

Dozens of important changes to the USA income tax system that affect individual taxpayers occurred in the 2018 with the new tax law, the “Tax Cuts and Jobs Act.” Chapters 4, “Managing Income Taxes,” and 17, “Retirement and Estate Planning,” in this new enhanced edition of Personal Finance have been thoroughly updated to incorporate all of the key tax law changes. In addition, these key changes also appear online in MindTap for Personal Finance Tax Update 13e.

TOPICAL COVERAGE OF THE 13TH EDITION

We have carefully constructed the 13th edition to address instructors’ concerns about getting through all the necessary material for this course. The table of contents outlines 17 chapters divided into four parts: Financial Planning, Money Management, Income and Asset Protection, and Investments. We also include a comprehensive chapter on “Career Planning” that provides students with innovative 21st century suggestions necessary to obtain and succeed in their careers.

FEATURES TO STRENGTHEN LEARNING OPPORTUNITIES

We have carefully designed pedagogical features to strengthen learning opportunities for students. Each feature is designed to communicate vital information meaningfully and to maintain student interest. The following features support student understanding and retention.

YOU MUST BE KIDDING, RIGHT?

The world of personal finances is getting more complicated and challenging each year. Recent economic times have been tough with some negative impacts on people’s personal finances. Which one of the following statements is false?

- A. Half of Americans have less than one month’s income saved for a rainy day.
- B. Half of adults say they do not budget.
- C. Sixty percent of Americans say they live paycheck-to-paycheck.
- D. Forty percent of Americans say they find it difficult to meet monthly expenses

The answer is “none of the above” is false because all the statements are true. Clearly, many Americans are experiencing trouble with their personal finances. You can get smart about personal finances so these statements do not apply to you!

You Must Be Kidding, Right? If you typically skip the opening case, now is the time to change your ways. This feature opens every chapter with a short narrative about a financial topic and a question with four possible answers. The often surprising (and sometimes funny) answers provide an excellent opportunity to quickly engage students in a concept that is critically important to understanding the chapter.

Learning Objectives Concise behavioral objectives that can be measured against the content of each chapter, its activities, and then tested.

What Do You Recommend? These concise, realistic cases are actually “pre-tests” at the beginning of each chapter followed by leading questions asking about the most important fundamental concepts in the chapter. The case acts as a pretest because a student who has not read the chapter will be able to offer only simplistic, experience-based opinions and suggestions to respond to the questions. This will communicate to them how much they have to learn from an instructor-led classroom discussion of the chapter. A corresponding posttest, “*What Do You Recommend NOW?*” appears as part of the end-of-chapter pedagogy. At that point, after reading and classroom discussion, student responses should be very different: informed, practical, and action oriented.

Boxed Inserts on Key Topics Many of the authors’ prescriptions for success in personal finance and other important topics are explained in boxes, and these include:

To-Do Soon List These boxes list the most important tasks students need to take to get off to a great start financially. Every chapter includes five specific prescriptions for the student to accomplish in the next few months or years in life.

Did You Know? These boxes have interesting, catchy titles that encourage students to actually read the information. These offer some surprises in current understanding that rejects obsolete knowledge.

Numbers On These highlight important numbers relevant to the subject of each chapter.

Never Ever! The reader may recall that we wrote that there are a few things to not do wrong. Accordingly, we have two new boxes that feature what one should absolutely, positively in no way ever do in personal finance.

Your Grandparents Say These offer tips from those who have lived long and succeeded in their personal finances.

There Is an App for That! Many good apps are listed and almost all can be used on both Apple and Android devices.

Money Websites These are updated lists of top quality websites that can be truly useful for readers to update their knowledge.

Turn Bad Habits Into Good Ones A robust list of concrete suggestions is offered.

Advice from a Seasoned Pro These boxes are written by some of the nation's best personal finance experts. They offer authoritative, real-world advice on topics such as getting out of credit card debt, buying a safe car, and paying for retirement on the layaway plan.

The Tax Consequences of These boxes focus on the income tax aspects in key chapters, so the reader is pushed to always think of the impact of income taxes when making important financial decisions.

Bias Toward These give the reader a reality check on the behavioral economics biases that plague us into making bad financial decisions. They also explain how to overcome them.

Common Sense Here we offer thoughts for readers to contemplate. These boxes are basic prescriptions to achieve financial success.

Concept Checks At the end of each major segment of each chapter, we provide a box of concept check questions tied to the major topics in that part. They may aid classroom discussion, serve as student assignments, or simply provide students with a self-check for a fuller understanding of the material.

Run the Numbers These boxes guide students to their best personal finance decisions that require mathematics, and they illustrate commonly confronted choices following a step-by-step process.

Do It in Class This feature highlights with icons the topics in the chapter that are most suitable for students to “turn the class upside down” by choosing perhaps to do in-class learning activities for 20–25 minutes.

End-of-Chapter Pedagogy The end of chapter pedagogy—much of which has been revised—carefully directs student learning of the concepts and principles that are key to success in personal finance.

What Do You Recommend NOW? This end-of-chapter section asks the same leading questions pertaining to the case at the beginning of the chapter. At this point, however, instructors can anticipate higher-quality responses and a deeper level of understanding because students have read the chapter and likely listened to instructor-led class discussion.

Summary of Learning Objectives Recapped Three to six sentences review the most important content cited in each of the chapter's learning objectives.

Let's Talk About It Students are given an opportunity to discuss their personal experiences related to the chapter by addressing these questions.

TO-DO SOON



Do the following to begin to achieve financial success:

1. Get up to date on future economic conditions by going to www.conference-board.org to read their expectations for economic growth.
2. Do some time value of money calculations until you are comfortable using them.
3. Harness the power of compounding by starting early to save a consistent amount each month for a long-term goal.
4. When employed take advantage of tax sheltering through your employer's benefits program.
5. Use marginal and opportunity costs when making an important financial decision.



Do the Math These questions apply the relevant quantitative mathematical calculations used in personal finance decision making. The companion website includes Excel calculators for these exercises.

Financial Planning Cases Students must apply key concepts when analyzing typical personal financial problems, dilemmas, and challenges that face individuals and couples. Because some cases are designed to be both continuous and independent of the other chapters' cases, each case can be analyzed by itself. One continuing case is that of "Julia Price," whose sometimes complicated financial life evolves through challenging economic times, and each of her cases ends with a question for the student: *"Offer your opinions about her thinking."* Two other continuing cases are "Harry and Belinda Johnson," starting out married life as a young couple, and "Victor and Maria Hernandez," a family starting in their thirties. This edition also features five or six cases in each chapter. The series of case questions requires data analysis and critical thinking, and this effort reinforces mastery of chapter concepts.

Be Your Own Personal Financial Planner This end-of-chapter section provides concrete, personalized activities that engage students in developing aspects of their own financial plans. Most are keyed to the "My Personal Financial Planner" worksheets—available in MindTap—complete with interactive spreadsheets.

On the 'Net All of these exercises have been updated to carefully focus the student to online materials that are genuinely useful and appropriate for this time in their personal financial lives. Each chapter includes several Internet-based exercises, activities, and focused questions that expand the student's learning in a guided manner, allowing the student to research and apply chapter concepts while finding the best and most accurate answers available.

Action Involvement Projects Each out-of-class project points the student toward taking specific steps in their communities or on the Internet that require communicating with experts to apply the knowledge provided in each chapter at a personal level, particularly aiming to have an impact on their thoughts about personal finance.

"Flip the Classroom" icons tell instructors and students about "Do It in Class" Exercises for Instructors to Flip the Classroom The traditional pattern of teaching and learning has been for instructors to assign students to read a textbook and have them work on problems, cases, and exercises outside of school. Then the students come to class to listen to lectures, participate in discussions, and take tests.

Flip teaching or a **flipped classroom** is a pedagogical model in which the typical lecture and homework elements of a course are reversed. It is a form of learning where students learn new content by what used to be class work (the "lecture") that is usually done online at home by students who watch video lessons and what used to be "homework" (assigned problems and cases) is now done in class with instructors who offer more personalized guidance and interaction with students.

In a flipped classroom, the instructor has decided that students will study the chapter before coming to class, often using videos, podcasts or screencasts prepared by the instructor or a third party. Sometimes these can be found online from YouTube, the Khan Academy, MIT's OpenCourseWare, Coursera, or other similar sources. As a result the students may watch, rewind, and fast-forward as needed. Then the students come to class to apply their knowledge by working on problems, cases, and various exercises, including short discussions, for part or all of what used to be the usual class time.

In the flipped class the instructor tutors the students when they become stuck working on problems, rather than imparting the initial lesson by lecturing in person. The flipped classroom frees up class time for hands-on work. Students learn by doing and asking questions. Students can also help each other, a process that benefits both the advanced and less advanced learners.

A **breakthrough approach for instructors** is offered with this *Personal Finance* textbook. You do not have to, but you may try out a flipped classroom. If instructors provide students some at-home video lessons or if they simply want to take a crack at flipping the classroom, they may review the end-of-chapter “Do It in Class” icons and decide which questions might be most suitable for their students. They might plan for perhaps 20 to 25 minutes of class time for students to solve appropriate problems.

To assist with this endeavor we have placed several “Do It in Class” icons within each chapter that are suitable for students to “turn the class upside down” should they choose to do the related in-class learning activities marked with icons at the end of the chapter. The in-chapter icons have no meaning upon first reading the chapter. However, their importance becomes apparent when the student sees the selected end-of-chapter questions that are marked with the same icons. Each of these questions also has page numbers that direct the student to the appropriate section of the chapter (marked with the same icon) where the content exists for them to review and learn so they may perform the tasks requested. The instructor needs only to assign some end-of-chapter “Do It in Class” activities and supervise the student learning.



DO IT IN CLASS

Glossary A comprehensive end-of-text glossary includes precise definitions of all key terms and concepts. More than 80 terms new have been added and hundreds of others have been rewritten for more clarity.

COMPLETE INSTRUCTOR SUPPORT

- **Instructor Website.** The instructor website that accompanies *Personal Finance* provides a wealth of supplemental materials to enhance learning and aid in course management. Features of the site include PowerPoint slides, downloadable Instructor Manual and Solution Manual files, and test bank content.
- **Instructor’s Manual.** Written by coauthor author, Ray Forgue, this ancillary includes a variety of useful components: suggested course syllabi to emphasize a general, insurance, or investments approach to personal finance; learning objectives; a summary overview for use as a lecture outline; and teaching suggestions including student application exercises and tips for bringing the Web into the classroom. This item is found on the instructor companion website.
- **Solutions Manual.** Answers and solutions to all end-of-chapter questions and problems are included. This item is found on the instructor companion website.
- **PowerPoint Slides.** The PowerPoint slides contain chapter outlines, figures, and tables from the main text, which were written by coauthor Ray Forgue. Lecture material is available within the PowerPoint slides.
- **Test Bank.** Each chapter boasts a Test Bank of multiple choice and true/false questions varying in difficulty level and covering the key concepts. The Test Bank for each chapter will be available through *Cognero*, an online, fully customizable version of the Test Bank, which provides instructors with all the tools they need to create, author/edit, and deliver multiple types of tests. Instructors can import questions directly from the *Test Bank*, create their own questions, or edit existing questions.

COMPLETE STUDENT SUPPORT

- **My Personal Financial Planner** is a fantastic tool for students to use in planning and organizing their personal finances. This online product contains over 60 useful worksheets, schedules, and planners for personal finance. They are not busywork for students. Some of the worksheets mimic the calculations and planning exercises

covered in the book; others help students develop their own personal financial plans and details for future actions. A student's use of this tool virtually guarantees positive changes in their personal financial behaviors and quick success in money matters. "My Personal Financial Planner" is available in the MindTap student resource for *Personal Finance*.

- **Student Companion Website** is accessible *without* an access code. Among other assets, students can find a short interactive quiz for each chapter.
- **Quizlet.** We know that in a lot of courses, terminology is an important part of how you study. We also know that you may love to use Quizlet on your phone or tablet to help you create flashcards as a study tool. To make it easier for you to use Quizlet with this book, we have created flashcard templates for you. You'll find instructions and the templates on this book's companion site.

Acknowledgments

We would like to thank our reviewers and other experts, who offered helpful suggestions and criticisms to this and previous editions. This book is their book, too. We especially appreciate the assistance of the following individuals:

Tim Alzheimer, <i>Montana State University</i>	Gerry Chambers, <i>The Villages, FL</i>
Gary Amundson, <i>Montana State University-Billings</i>	Steve Christian, <i>Jackson Community College</i>
Jan D. Andersen, <i>California State University, Sacramento</i>	Ron Christner, <i>Loyola University</i>
Dori Anderson, <i>Mendocino College</i>	Charlotte Churaman, <i>University of Maryland</i>
Sophia Anong, <i>University of Georgia</i>	Carol N. Cissel, <i>Roanoke College</i>
Robert E. Arnold, Jr., <i>Henry Ford Community College</i>	Thomas S. Coe, <i>Xavier University of Louisiana</i>
Bala Arshanapalli, <i>Indiana University Northwest</i>	Edward R. Cook, <i>University of Massachusetts-Boston</i>
Hal Babson, <i>Columbus State Community College</i>	Patricia Cowley, <i>Omni Travel</i>
Anne Bailey, <i>Miami University</i>	Kathy Crall, <i>Des Moines Area Community College</i>
Rosella Bannister, <i>Bannister Financial Education Services</i>	Sheran Cramer, <i>University of Nebraska-Lincoln</i>
Richard Bartlett, <i>Muskingum Area Technical College</i>	Brenda Cude, <i>University of Georgia</i>
Katie Barrow, <i>Louisiana Tech University</i>	Ellen Daniel, <i>Harding University</i>
Anne Baumgartner, <i>Navy Family Service Center-Norfolk</i>	Jamey Darnell, <i>College of Central Florida</i>
John J. Beasley, <i>Georgia Southern University</i>	Howard Davidoff, <i>Brooklyn College</i>
Kim Belden, <i>Daytona Beach Community College</i>	Joel J. Dauten, <i>Arizona State University</i>
Pamela J. Bennett, <i>University of Central Arkansas</i>	William Dean, <i>Southern University</i>
Daniel A. Bequette, <i>Harwell College</i>	Lorraine R. Decker, <i>Decker & Associates Inc.</i>
Peggy S. Berger, <i>Colorado State University</i>	Lucy Delgadillo, <i>Utah State University</i>
David Bible, <i>Louisiana State University-Shreveport</i>	Carl R. Denson, <i>University of Delaware</i>
George Biggs, <i>Southern Nazarene University</i>	Dale R. Detlefs, <i>William M. Mercer, Inc.</i>
Robert Blatchford, <i>Tulsa Junior College</i>	Nancy C. Deringer, <i>University of Idaho</i>
Susan Blizzard, <i>San Antonio College</i>	A. Terrence Dickens, <i>California State University</i>
Karin B. Bonding, <i>University of Virginia</i>	Jenn J. Dorwart, <i>Chadron State College</i>
Linda A. Bradley, <i>California State University-Northridge</i>	Charles E. Downing, <i>Massasoit Community College</i>
Dean Brassington, <i>Joint Expeditionary Base Little Creek-Fort Story</i>	Alberto Duarte, <i>Access Counseling</i>
Morgan Bridge, <i>Colorado Mesa University</i>	Dottie B. Durband, <i>Kansas State University</i>
Bryan Brullon, <i>Polk State College</i>	Sidney W. Eckert, <i>Appalachian State University</i>
Philip Corwin Bryant, <i>Ivy Tech Community College</i>	Marc Eiger, <i>Standard & Poor's</i>
Anne Bunton, <i>Cottey College</i>	Gregg Edwards, <i>Monroe Community College</i>
Bruce Brunson, <i>Tidewater Community College</i>	Jacolin P. Eichelberger, <i>Hillsborough Community College</i>
Paul L. Camp, <i>Galecki Financial Management</i>	Gregory J. Eidleman, <i>Alvernia College</i>
Chris Canellos, <i>Stanford University</i>	Richard English, <i>Augustana College</i>
Andrew Cao, <i>American University</i>	Evan Enowitz, <i>Grossmont College</i>
Melinda Carlson, <i>Eastern Michigan University</i>	Don Etnier, <i>University of Maryland-European Division</i>
Diana D. Carroll, <i>Carson-Newman College</i>	David A. Evans, <i>Purdue University</i>
Gerri Chaplin, <i>Joliet Junior College</i>	Judy Farris, <i>South Dakota State University</i>
	Patti Fisher, <i>Virginia Tech</i>

- Vicki Fitzsimmons, *University of Illinois*
Jonathan Fox, *Iowa State University*
Elizabeth Fletcher, *Evangel University*
Fred Floss, *Buffalo State College*
Brian Fraser, *Colorado Mesa University*
Paula G. Freston, *Colby Community College*
H. Swint Friday, *University of South Alabama*
Carol S. Fulmer, *University of Alabama*
Wafica Ghoul, *Davenport University*
Richard Gianni, *North Greenville University*
Joel Gold, *University of South Maine*
Gerson M. Goldberg, *Northeastern University*
Elizabeth Goldsmith, *Florida State University*
Jordan E. Goodman, *MoneyAnswers.com*
Joseph D. Greene, *Augusta State University*
Paul Gregg, *University of Central Florida*
Jeri W. Griego, *Laramie County Community College*
Michael P. Griffin, *University of Massachusetts-Dartmouth*
Richard C. Grimm, *Grove City College*
David R. Guarino, *Standard & Poor's*
Mark Guild, *Southern Adventist University*
Hilda Hall, *Surry Community College*
Sherman Hanna, *The Ohio State University*
Patty Hatfield, *Bradley University*
Andrew Hawkins, *Lake Area Technical Institute*
Deborah Haynes, *Montana State University*
Janice Heckroth, *Indiana University of Pennsylvania*
Diane Henke, *University of Wisconsin-Sheboygan*
Roger P. Hill, *University of North Carolina-Wilmington*
Jeanne Hilton, *University of Nevada*
Steve Holcombe, *North Greenville University*
Laura Horvath, *University of Detroit Mercy*
David Houghton, *Northwest Nazarene College*
George Hruby, *University of Akron*
Holly Hunts, *Montana State University*
Samira Hussein, *Johnson County Community College*
Roger Ignatius, *University of Maine-Augusta*
Alena C. Johnson, *Utah State University*
Xiaohui Sophie Li, *Northern Illinois University*
James R. Isherwood, *Community College of Rhode Island*
Naheel Jeries, *Iowa State University*
Clarence W. Jones, Jr., *Lane College*
Karen Jones, *SWBC Mortgage Corporation*
Marilyn S. Jones, *Friends University*
Ellen Joyner, *Liberty National Bank-Lexington*
Virginia W. Junk, *University of Idaho*
Peggy D. Keck, *Western Kentucky University*
Dennis Keefe, *Michigan State University*
Jim Keys, *Florida International University*
Heidi Kilmer, *Northeastern University*
Haejeong Kim, *Central Michigan University*
Hyungsoo Kim, *University of Kentucky*
Jinhee Kim, *University of Maryland-College Park*
Kyoung Tae (KT) Kim, *The University of Alabama*
Richard Koza, *Chadron State College*
Joan Koonce, *University of Georgia*
Konnie G. Kustron, *Eastern Michigan University*
Karen Eilers Lahey, *University of Akron*
Eloise J. Law, *State University of New York-Plattsburgh*
Andrew H. Lawrence, *Delgado Community College*
Frances C. Lawrence, *Louisiana State University*
David W. Leopard, *Eastern Michigan University*
Hongbok Lee, *Western Illinois University*
Irene Leech, *Virginia Tech*
Xiaohai Sophia Li, *Northern Illinois University*
Charles J. Lipinski, *Marywood University*
Lori Lothringer, *Metropolitan Community College*
Jean Lown, *Utah State University*
Janet K. Lukens, *Mississippi State University*
Lee McClain, *Western Washington University*
Wayne Mackie, *Saginaw Valley State University*
Ashwin Madia, *Metropolitan State University*
Kenneth Marin, *Aquinas College*
Kenneth Mark, *Kansas Community College*
Julia Marlowe, *University of Georgia*
Allen Martin, *California State University Northridge*
Lisa Cole-Martin, *Texas Tech University*
Gerard J. Mellnick, *Schoolcraft College*
Linda Meltzer, *Queensborough Community College*
Billy Moore, *Delta State University*
John R. Moore, *Navy Family Services Center-Norfolk*
Byron L. Morgan, *Texas State University*
Diane R. Morrison, *University of Wisconsin-La Crosse*
Diann Moorman, *University of Georgia*
Steven J. Muck, *El Camino College*
Randolph J. Mullis, *WEATrust*
James Nelson, *East Carolina State University*
Donald Neuhart, *Central Missouri State University*

Oris L. Odom II, *University of Texas-Tyler*
 William S. Phillips, *Memphis State University*
 John Piccione, *Rochester Institute of Technology*
 Jennifer H. Plantier, *Hardin-Simmons University*
 Carl H. Pollock, Jr., *Portland State University*
 Angela J. Rabatin, *Prince George's Community College*
 Ann Ranczuch, *Monroe Community College*
 Robert Reagan, *Western Dakota Tech*
 Gwen M. Reichbach, *Dealers' Financial Services*
 Mary Ellen Rider, *University of Nebraska*
 Eloise Lorch Rippie, *Iowa State University*
 Edmund L. Robert, *Front Range Community College*
 Clarence C. Rose, *Radford University*
 David E. Rubin, *Glendale Community College*
 Michael Ruff, *Monroe Community College*
 Michael Rupured, *University of Georgia*
 Peggy Schomaker, *University of Maine*
 Oscar Solis, *Virginia Tech*
 Barry B. Schweig, *Creighton University*
 Elaine D. Scott, *Bluefield State University*
 Michelle Singletary, *The Washington Post*
 James Scott, *Southwest Missouri State University*
 Wilmer E. Seago, *Virginia Tech University*
 Kim Simons, *Madisonville Community College*
 Marilyn K. Skinner, *Macon Technical Institute*
 Kelsie Smathers, *University of Idaho*
 Feliccia Smith, *North Greenville University*
 Rosalyn Smith, *Morningside College*
 Horacio Soberon-Ferrer, *University of Florida*
 Edward Stendard, *St. John Fisher College*
 Mary Stephenson, *University of Maryland-College Park*
 Vicky Swank, *Heritage University*

Eugene Swinnerton, *University of Detroit Mercy*
 Lisa Tatlock, *The Master's College*
 Angela W. Taunton, *Athens State College*
 Anastasia Theisen, *Northern Illinois University*
 Francis C. Thomas, *Port Republic, New Jersey*
 Erica Tobe, *Michigan State University*
 Stephen Trimby, *Worcester State College*
 Sherry Tshibangu, *Monroe Community College*
 John W. Tway, *Amber University*
 Shafi Ullah, *Broward Community College*
 Dick Verrone, *University of North Carolina-Wilmington*
 Jerry A. Viscione, *Boston College*
 Stephen E. Wagner, *Attorney at Law, Blacksburg, Virginia*
 Rosemary Walker, *Michigan State University*
 Robert O. Weagley, *University of Missouri-Columbia*
 David Wendle, *Baker College*
 Grant J. Wells, *Michigan State University*
 Jon D. Wentworth, *Southern Adventist University*
 Dorothy West, *Michigan State University*
 Mary Ann Whitehurst, *Southeastern Crescent Technical College*
 James J. Williams, *Hudson Valley Community College*
 Brianne Wilson, *Huntingdon College*
 David Windle, *Baker College*
 Dana Wolff, *Southeast Technical Institute*
 Gloria Worthy, *State Technical Institute-Memphis*
 Stephanie R. Yates, *University of Alabama at Birmingham*
 Rui Yau, *South Dakota State University*
 Alex R. Yguado, *L.A. Mission College*
 Robert P. Yuyuenyongwatana, *Cameron University*
 Martha Zenns, *Jamestown Community College*
 Larry Zigler, *Highland College*
 Virginia S. Zuiker, *University of Minnesota*

This 13th edition also has benefited from the contributions of some of the best personal finance experts in the United States, who have shared some specialized expertise by contributing to a series of boxes titled “Advice From a Seasoned Pro”:

Dennis R Ackley, *Ackley & Associates*
 Katie Barrow, *Louisiana Tech University*
 Linda A. Bradley, *California State University*
 Morgan Bridge, *Colorado Mesa University*
 Bryan Brullon, *Polk State College*
 Melinda Carlson, *Eastern Michigan University*
 Gerry Chambers, *The Villages, FL*
 Philip Corwin Bryant, *Ivy Tech Community College*

Jamey Darnell, *College of Central Florida*
 Howard Davidoff, *Brooklyn College*
 William Dean, *Southern University*
 Lucy Delgadillo, *Utah State University*
 Nancy C. Deringer, *University of Idaho*
 Jenn J. Dorwart, *Chadron State College*
 Dorothy B. Durband, *Kansas State University*
 David A. Evans, *Purdue University*

Brian Fraser, *Colorado Mesa University*
 Richard Gianni, *North Greenville University*
 Jordan E. Goodman, *MoneyAnswers.com*
 Gerson M. Goldberg, *Northeastern University*
 Mark Guild, *Southern Adventist University*
 Sherman Hanna, *The Ohio State University*
 Deborah Haynes, *Montana State University*
 Steve Holcombe, *North Greenville University*
 Holly Hunts, *Montana State University*
 Alena C. Johnson, *Utah State University*
 Clarence W. Jones, Jr., *Lane College*
 Heidi Kilmer, *Northeastern University*
 Hyungsoo Kim, *University of Kentucky*
 Kyoung Tae (KT) Kim, *The University of Alabama*
 Richard Koza, *Chadron State College*
 Konnie G. Kustron, *Eastern Michigan University*
 Frances C. Lawrence, *Louisiana State University*
 David W. Leapard, *Eastern Michigan University*
 Irene Leech, *Virginia Tech*
 Xiaohui Sophie Li, *Northern Illinois University*
 Lori Lothringer, *Metropolitan Community College*
 Jean Lown, *Utah State University*
 Wayne Mackie, *Saginaw Valley State University*
 Lisa Cole-Martin, *Texas Tech University*

Ashwin Madia, *Metropolitan State University*
 Gerard J. Mellnick, *Schoolcraft College*
 Linda Meltzer, *Queensborough Community College*
 Diann Moorman, *University of Georgia*
 Byron L. Morgan, *Texas State University*
 Jennifer H. Plantier, *Hardin-Simmons University*
 Ann Ranczuch, *Monroe Community College*
 Michael Ruff, *Monroe Community College*
 Michelle Singletary, *The Washington Post*
 Kelsie Smathers, *University of Idaho*
 Oscar Solis, *Virginia Tech*
 Robert Reagan, *Western Dakota Tech*
 Fellicia Smith, *North Greenville University*
 Vicky Swank, *Heritage University*
 Angela W. Taunton, *Athens State College*
 Anastasia Theisen, *Northern Illinois University*
 Erica Tobe, *Michigan State University*
 Sherry Tshibangu, *Monroe Community College*
 Robert O. Weagley, *University of Missouri-Columbia*
 Jon Wentworth, *Southern Adventist University*
 David Windle, *Baker College*
 Brianne Wilson, *Huntingdon College*
 Stephanie R. Yates, *University of Alabama at Birmingham*
 Dana Wolff, *Southeast Technical Institute*

We definitely wish to thank the many students who had the opportunity to read, critique, and provide input for various components of the *Personal Finance* project. Please keep sending us your e-mails.

This edition of *Personal Finance* benefited enormously from the editorial efforts of Conor Allen. In addition to being a fine manager and editor, he brought much insight, creativity, intelligence, and wisdom to the project. His staff also was kind enough to provide some excellent insights. Conor is a master of his art, and it has been a privilege to work with him on this as well as others of our books. Many thanks go to Conor's successors for their strong efforts to manage the many complex decisions as they completed the book on schedule: Tara Slagle and Julie Dierig. Finally, and this is a first in our 13 editions, sincere appreciation is given to the firm that composed the book—implementing hundreds of critical decisions as well as making the content perfectly fit the pages—Lumina Datamatics, and the team led by Joseph Malcolm, Senior Project Manager.

A project of this dimension could never have been completed without the patience, support, understanding, and sacrifices of our friends and families during the book's development, revision, and production. Tom Garman, professor emeritus and fellow at Virginia Tech University, retired to life in The Villages, Florida, and stays in contact with his children and their spouses and significant others: Scott and his husband Dave, Dana and her husband Tom with Julia, Aliou and his wife Isatou with Kumba, Alimatou, and Ousman. Thanks are owed to all. Tom also credits the mentors in his life—Ron West, Bill Boast, Bill McDivitt, and John Binnion—for guiding him along the way, particularly through their noble examples of compassion, commitment, and

excellence. Most helpful of all, most encouraging and inspiring, and most deserving of my wholehearted gratitude, is my wife, Gerry. I thank her for being the love of my life. Her laughter, love, and support guarantees that the fourth quarter of my life is and will continue to be blessed with tremendous happiness.

Ray Forgue, retired from University of Kentucky, lives in Easley, South Carolina, with his wife Snooky. They take great pleasure in traveling to visit their children. Ray's son, Matthew, and his wife, Kat, live in Oregon. His daughter, Amy, her husband, Mack, and their two daughters live in Colorado. Snooky's children, Stuart and Dru, live in South Carolina. Her son, Seth, his wife, Alexandra, and their two boys live in New York. Ray wishes to thank his mother, Mary, and brothers Bob, Gary, Joe, and Dave for their patience over the years as he spent time during vacation and holiday visits working on this book. Special thanks to Snooky, whose assistance on the first edition of *Personal Finance* continues to shine through to this current edition.

Finally, we wish to say "thank you" to the hundreds of personal finance instructors around the country, who have generously shared their views, in person, via telephone, mail, fax, text, Facebook, and e-mail on what should be included in a high-quality textbook and ancillary materials. Some of you thankfully have communicated multiple times, especially Professors Sherman Hanna of The Ohio State University, Jonathan Fox of Iowa State University, and Jean Lown of Utah State University. Their views have always been astute and insightful, and they are among the nation's best college personal finance professors.

Instructors around the country demand the best for their students, and we have listened. *Personal Finance* is your book! The two of us and the quality team of professionals at Cengage have tried very hard to meet your needs in every possible way. We hope we have exceeded your expectations. Why? Because we share the belief that students need to study personal finance principles thoroughly and learn them well so that they will be genuinely financially successful throughout their lives.

E. Thomas Garman
ethomasgarman@yahoo.com

Raymond E. Forgue
perfinypm@yahoo.com

P.S. Dear students: If you are going to save any of your college textbooks, be certain to keep this one because the basic principles of personal finance are everlasting. Also, you might want to present the book as a gift to a significant other, spouse, sibling, or parent.

PART 1



Chapter 1

Understanding
Personal Finance

Chapter 2

Career Planning

Chapter 3

Financial Statements,
Tools, and Budgets

Monkey Business Images/Shutterstock.com

1

Understanding Personal Finance

YOU MUST BE KIDDING, RIGHT?

Lauren Crawford, age 23, earns \$50,000 a year and she invests 6 percent of her salary, \$3,000 annually, through her employer-sponsored 401(k) retirement account. Because her employer also contributes 50 cents for every dollar she contributes, Lauren is saving \$4,500 each year (\$3,000 + \$1,500). Even if she never increases her 401(k) contributions, about how much money will she have in the account after 40 years if she earns an 8 percent return?

- A. Less than one-quarter of a million dollars
- B. More than one-quarter million dollars but less than one-half million
- C. Close to \$1 million
- D. Over \$1 million

The answer is D; approximately \$1,165,750. This is even though her total contributions will only be \$180,000 (\$4,500 x 40). Lauren will make the big money from "the annual compounding of money," not just on the amounts she puts into her retirement plan each month (the \$180,000). Growing wealth is all about the magic of compound interest over time!

Learning Objectives

After reading this chapter, you should be able to:

- 1 Recognize the keys to achieving financial success.
- 2 Understand how the economy affects your personal financial success.
- 3 Think like an economist when making financial decisions.
- 4 Perform time value of money calculations in personal financial decision making.
- 5 Make smart decisions about your employee benefits.
- 6 Identify the professional certifications of providers of financial advice.



mstanley/Shutterstock.com

WHAT DO YOU RECOMMEND?

Jing Wáng, age 23, recently graduated with her bachelor's degree in accounting. She is about to take her first professional position as an accountant with a large firm in an expanding area in California. While in school, Jing worked part time for that firm during the summers, earning about \$15,000 per year. For the past two years, she has managed to put \$1,000 each year into an individual retirement account (IRA). Jing owes \$35,000 in student loans on which she will soon start to make payments. Her new job will pay \$80,000. Jing may begin participating in her employer's 401(k) retirement plan immediately, and she can contribute up to 8 percent of her salary to the plan. Her employer will contribute 1/2 of 1 percent for every 1 percent that Jing contributes.



qingqing/Shutterstock.com

What do you recommend to Jing on the importance of personal finance regarding:

1. Participating in her employer's 401(k) retirement plan?
2. Understanding the effects of her marginal tax rate on her financial decisions?
3. Considering the current state of the economy in her personal financial planning?
4. Using time value of money considerations to project what her IRA might be worth at age 63?
5. Using time value of money considerations to project what her 401(k) plan might be worth when she is age 63 if she were to participate fully?

TO-DO SOON



Do the following to begin to achieve financial success:

1. *Get up to date on future economic conditions by going to www.conference-board.org to read their expectations for economic growth.*
2. *Do some time value of money calculations until you are comfortable using them.*
3. *Harness the power of compounding by starting early to save a consistent amount each month for a long-term goal.*
4. *When employed take advantage of tax sheltering through your employer's benefits program.*
5. *Use marginal and opportunity costs when making an important financial decision.*

personal finance

The study of personal and family resources considered important in achieving financial success; it involves how people spend, save, protect, and invest their financial resources.

financial literacy

Knowledge of facts, concepts, principles, and technological tools that are fundamental to being smart about money.

financial well-being

A state of being wherein a person can fully meet current and ongoing financial obligations, can feel secure in their financial future, and make choices that allow them to enjoy life.

financially responsible

Means that you are accountable for your future financial well-being and that you strive to make wise personal financial decisions.

Can you successfully manage your personal finances in today's economy? Yes you can! Most people realize that the key to long-term financial stability and success is to live below your means, have an emergency fund to handle financial surprises, pay off credit cards and student loans, and save and invest for your future. But it is tough to accomplish today with all the demands on your money.

In the years ahead many opportunities will arise for you to take smart actions to help assure your future financial success. Financial success may seem like a far-off prospect when you are in your twenties. But the personal finance patterns you put into practice while enrolled in your personal finance course and immediately after graduation will help you manage, as well as accumulate, money in the years ahead.

This book is your ticket for a financially successful life! You can have it all by becoming a wealth builder. You can become financially responsible and economically independent. And you will learn to handle any financial surprises along the way.

Personal finance is the study of personal and family resources considered important in achieving financial success. It involves how people spend, save, protect, and invest their financial resources. A good understanding of personal finance topics offers you a great chance of success in facing the financial challenges, responsibilities, and opportunities of life.

At the heart of it, personal finance is totally about money. On the question of "What makes the world go around, love or money?" The answer: "Love makes it very special. But without money you are in serious trouble. And the trouble is so bad that it is like being up the proverbial creek without a paddle." So, please, continue reading and get started on how to be very smart in your personal finances.

This book provides prudent guidance for every step of the way. Careful study will enhance your **financial literacy**, which is your knowledge of facts, concepts, principles, and technological tools that are fundamental to being smart about money. Financial literacy empowers you. It improves your ability to handle day-to-day financial matters, helps you avoid the consequences of poor financial decisions that could take years to overcome, helps you make informed and confident personal money decisions, and makes you more financially responsible.

Financial well-being, says the federal government, is a state of being wherein a person can fully meet current and ongoing financial obligations, can feel secure in their financial future, and is able to make choices that allow them to enjoy life. To achieve financial well-being, one must be **financially responsible**. This means that you are accountable for your future financial well-being and that you strive to make good decisions in personal finance. The best example of not being financially responsible is to live like you are rich *before* you are. Being financially responsible means you will control your personal financial destiny and be successful.

At the beginning of each chapter, we provide a short case vignette titled "What Do You Recommend?" Each story focuses on the financial challenges that can be experienced by someone who has not learned about the material in that chapter. You will be asked to think about what advice you might give the person as you study the chapter. At the end of each chapter, you will again be asked to provide more informed advice based on what you have learned. The question at that point is "What Do You Recommend NOW?" You will be much better informed then!

Learning Objective 1

Recognize the keys to achieving financial success.

1.1 ACHIEVING PERSONAL FINANCIAL SUCCESS

Today's marketplace provides a constant barrage of messages suggesting that you can spend and borrow your way to financial success, security, and wealth. Well, they are wrong because you can't. These messages are very enticing for those starting out in their financial lives. It is hard to resist the immediate gratification of spending. In truth, however, overspending and overuse of consumer credit seriously impedes financial success.

The fact is that “you” are the result of your financial decisions. If you regularly purchase things you cannot afford, that is who you are. There is a right and a wrong way, and that is the wrong way. If this sounds like you, then you must learn to make better financial decisions.

Many people think that being wealthy is a function of how much one earns or inherits. In reality, it is much more closely related to your ability to make good decisions that generate wealth for you. The most important point in this book is to realize that you must live within your means, save some of what you earn, and avoid the temptation of having to purchase every new thing your friends buy.

You must have the discipline to delay gratification and make the right decisions to succeed in your finances. You have to do only a *few* things right in personal finance during your lifetime, as long as you don’t do too many things wrong. Personal finance is not rocket science. You can succeed very well in your personal finances by making appropriate plans and taking sensible actions to implement those plans.

1.1a The Five Fundamental Steps in the Financial Planning Process

There are five fundamental steps to the personal financial planning process, and these are examined in this chapter and the two that follow:

- (1) Evaluate your financial condition relative to your education and career choice;
- (2) Define your financial goals;
- (3) Develop a plan of action to achieve your goals;
- (4) Periodically develop and implement spending plans to monitor and control progress toward goals; and
- (5) Review your financial progress and make changes as appropriate.

1.1b You Must Plan for Financial Success and Happiness

Financial success is the achievement of financial aspirations that are desired, planned, or attempted. Success is defined by the person who seeks it. Some define financial success as being able to actually live according to one’s standard of living. Many seek **financial security**, which provides the comfortable feeling that your financial resources will be adequate to fulfill any needs you have as well as most of your wants. Others want to be **wealthy** and have an abundance of money, property, investments, and other resources.

Financial happiness encompasses a lot more than just making money. It is the experience you have when you are satisfied with your money matters. People who are happy about their finances are likely to be spending within a budget and taking steps to achieve their goals, and this happiness spills over in a positive way to feelings about their overall enjoyment of life. Financial happiness is in part a result of practicing good financial behaviors. Examples of such behaviors include paying bills on time, spending less than you earn, knowing where your money goes, and investing some money for the future. The more good financial behaviors you practice, the greater your financial happiness. In fact, simply setting financial goals contributes to financial happiness.

financial success

The achievement of financial aspirations that are desired, planned, or attempted, as defined by the person who seeks it.

financial security

The comfortable feeling that your financial resources will be adequate to fulfill any needs you have as well as most of your wants.

financial happiness

The experience you have when you are satisfied with your money matters, which is in part a result of practicing good financial behaviors.

1.1c You Must Spend Less So You Can Save and Invest More

Financial objectives are rarely achieved without forgoing or sacrificing current **consumption** (spending on goods and services). This restraint is accomplished by putting money into **savings** (income not spent on current consumption) for use in achieving future goals. Some savings are actually **investments** (assets purchased with the goal of providing additional future income from the asset itself). By saving and investing, people are much more likely to have funds available for future consumption. If you save for tomorrow, you will be happier today *and* tomorrow.

Effective financial management often separates the *haves* from the *have-nots*. The *haves* are those people who learn to live on less than they earn and are the savers and investors of society. The *have-nots* are the spenders who live paycheck-to-paycheck, usually with high consumer debt. They fail to manage money and as a result money manages them.

savings

Income not spent on current consumption.

investments

Assets purchased with the goal of providing additional future income from the asset itself.

Being frugal is not about abstinence. It is about being smart in personal finance. Saving money does not make you cheap; it makes you smarter than those who just spend and spend. Spending less is about prioritizing your choices. You should think about making good choices in life when making every day spending decisions by asking yourself “What is most important to me?” This helps you get out of the habit of simply spending money and instead making choices that will enhance your life.

Saving for future consumption represents a good illustration of the human desire to achieve a certain **standard of living**. This standard is what an individual or group earnestly desires and seeks to attain, to maintain if attained, to preserve if threatened, and to regain if lost. Our standards include our wants and needs—as well as our comforts and luxuries too. In contrast, individuals actually experience their **level of living** at any particular time. In essence, your standard of living is where you would like to be, and your level of living is where you actually are.

standard of living

Material well-being and peace of mind that individuals or groups earnestly desire and seek to attain, to maintain if attained, to preserve if threatened, and to regain if lost.

level of living

Refers to the level of wealth, comfort, material goods and necessities one is currently living.

obsolete knowledge

That which we believe may have been valid at one time, if it ever was true in the first place.

1.1d What You Will Accomplish Studying Personal Finance

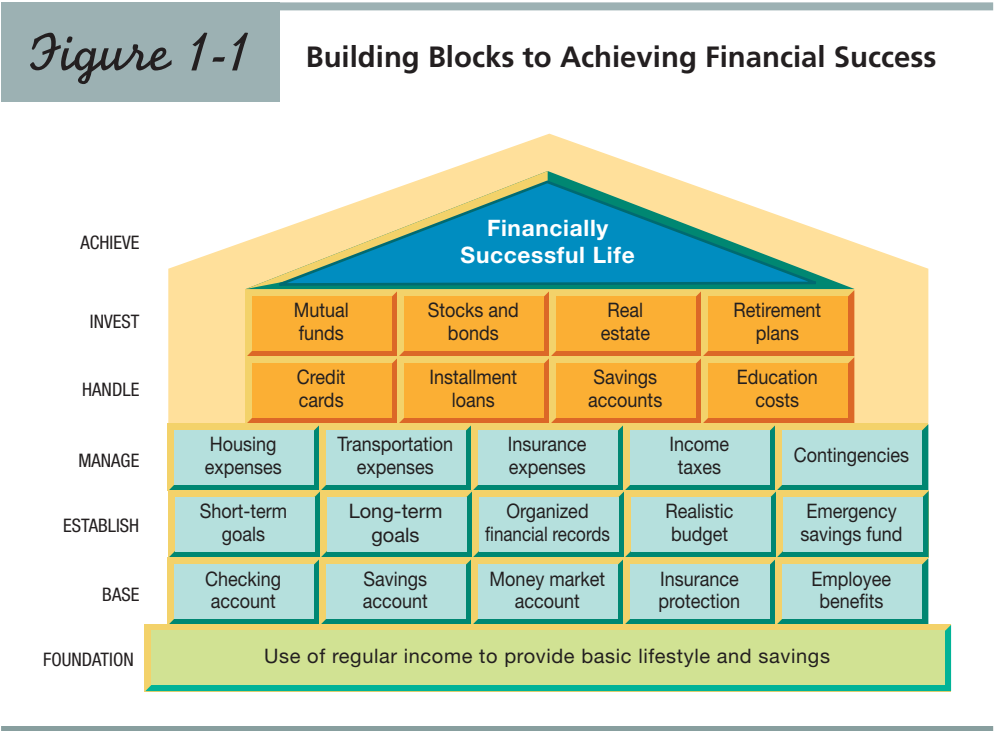
Learning about and succeeding in money matters means that by the time you finish this book you will:

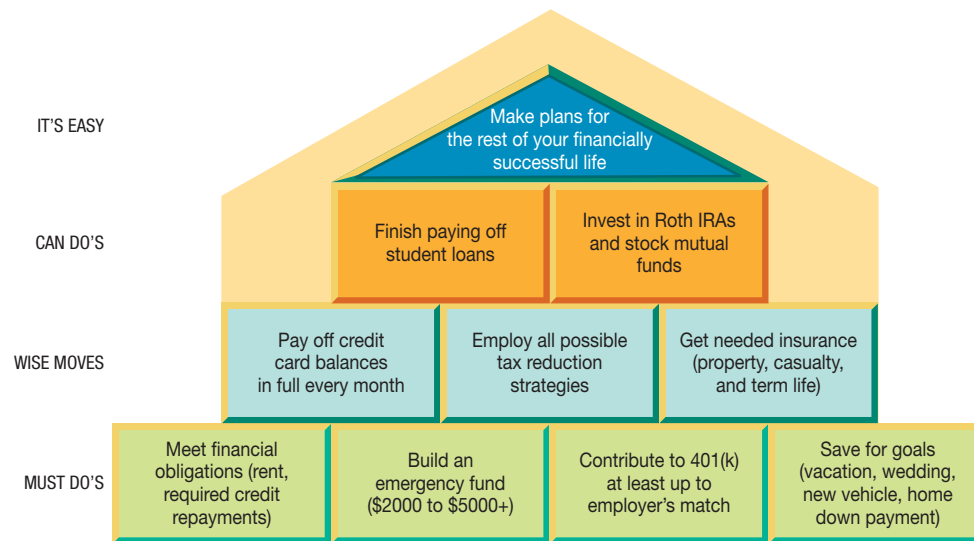
- 1. Recognize how to manage the unexpected and unplanned financial events.
- 2. Pay as little as possible in income taxes to the Internal Revenue Service (IRS).
- 3. Understand how to effectively comparison shop for vehicles and homes.
- 4. Protect what you own.
- 5. Invest wisely.
- 6. Accumulate and protect wealth that you may choose to spend during your non-working years or donate it.

Figure 1-1 shows the building blocks to achieving financial success and how they fit together. Figure 1-2 shows how to get your financial house in order by age 30. Accomplish these steps and you will be well on your way to being truly financially successful.

1.1e Replace Your Obsolete Knowledge

Obsolete knowledge is that which we believe may have been valid at one time, if it ever was true in the first place. When we are sure of erroneous knowledge we are not



*Figure 1-2***Get Your Financial House in Order by Age 30**

motivated to look for new information. As the Jedi master Yoda told Luke Skywalker, “You must unlearn what you have learned.” If you believe the world is changing and recognize that some of your knowledge is obsolete, you can begin to move past your outdated knowledge.

But how? Your response will be your true challenge in learning personal finance *and* applying it to your money matters in the many years of your life. This book provides you with the most up-to-date and best facts available, and much of the information is evolving and as such it will need to be replaced. In today’s world you need to learn how and where to accurately find the facts you want to know. This book will show you.

**CONCEPT CHECK 1.1**

1. Explain the five fundamental steps in the financial planning process.
2. Distinguish among financial success, financial security, and financial happiness.
3. Summarize what you will accomplish studying personal finance.
4. What are the building blocks to achieving financial success?

1.2 THE ECONOMY AFFECTS YOUR PERSONAL FINANCIAL SUCCESS

Your success in personal finance depends in part on how well you understand the economic environment; the current stage of the business cycle; and the future direction of the economy, inflation, and interest rates.

1.2a How to Tell Where We Are in the Business Cycle

An **economy** is an economic and political system of managing the productive and employment resources of a country, state, or community. The U.S. economy is **capitalism**. Here a country’s trade and industry are controlled by private owners who seek profit.

Learning Objective 2

Understand how the economy affects your personal financial success.

capitalism

Here a country’s economy, its trade and industry, are controlled by private owners who seek profit.

economic growth

A condition of increasing production (business spending) and consumption (consumer spending) in the economy and hence increasing national income.

business cycle/economic cycle

Business cycles can be depicted as a wavelike pattern of rising and falling economic activity; the phases of the business cycle include expansion, peak, contraction (which may turn into recession), and trough.

deleveraging

A time period when credit use shrinks in an economy instead of expanding as during normal economic times.

recession

A recurring period of decline in total output, income, employment, and trade, usually lasting from six months to a year and marked by widespread contractions in many sectors of the economy.

The U.S. federal government attempts to regulate the country's overall economy to maintain stable prices (low inflation) and stable levels of employment (low unemployment). In this way, the government seeks to achieve sustained **economic growth**, which is a condition of increasing production (business activity) and consumption (consumer spending) in the economy—and hence increasing national income. Specific government policies also affect the economy. For example, tax cuts keep money in consumers' pockets, money that they are then likely to spend. Tax increases, in contrast, depress consumer demand.

1.2b The Business Cycle

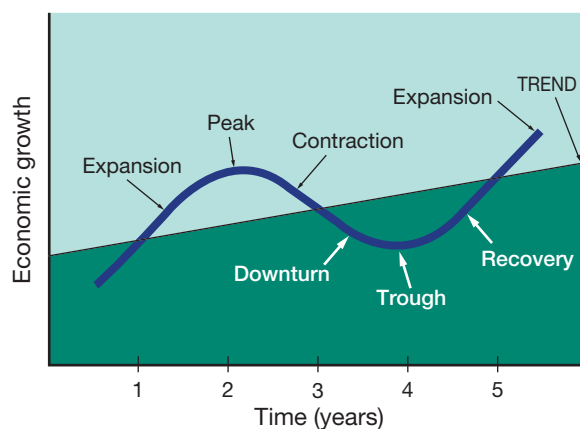
Growth in the U.S. economy varies over time. The **business cycle** (also called the **economic cycle**) is a process by which the economy grows and contracts over time. It can be depicted as a wavelike pattern of rising and falling economic activity in which the same pattern occurs again and again over time. As illustrated in Figure 1-3, the phases of the business cycle are expansion (when the economy is increasing), peak (the end of an expansion and the beginning of a contraction), contraction (when the economy is falling), and trough (the end of a contraction and beginning of an expansion).

The preferred stage of the economic cycle is the **expansion phase**, where production is at high capacity, unemployment is low, retail sales are high, and prices and interest rates are low or falling. Under these conditions, consumers find it easier to buy homes, cars, and expensive goods on credit, and businesses are encouraged to borrow to expand production to meet the increased consumer demand. The stock market also rises because investors expect higher profits in the future.

As the demand for credit increases, short-term interest rates rise because more borrowers want money. Consumers and businesses purchase more goods, exerting upward pressure on prices. Eventually, prices and interest rates climb high enough to stifle consumer and business borrowing, send stock prices down, and choke off the expansion. One effect of such economic turmoil is **deleveraging**, meaning that instead of normal economic times when credit usage grows, it shrinks because companies and individuals pay down their debts. When businesses and consumers use less debt, home and car sales decline as does employment. The result is a period of negligible economic growth or even a decline in economic activity.

In such situations, the economy often contracts and moves toward a **recession**. During recessions, consumers become pessimistic about their future buying plans. The typical U.S. recession is marked by an average economic decline of 2 percent that lasts for ten months with an average unemployment rate exceeding 6 percent.

There have been five recessions since 1980. The federal government's Business Cycle Dating Committee of the National Bureau of Economic Research officially defines a recession as "a period of falling economic activity spread across the economy, lasting

*Figure 1-3***Business Cycle Phases**

more than a few months, normally visible in real gross domestic product, real income, employment, industrial production, and wholesale-retail sales.”

The Great Recession The Great Recession began in 2007 and lasted 18 months, which makes it the longest of any recession since 1929–1941. The economy contracted 5.1 percent, which was of historic proportions. Nine million people had their jobs disappear as unemployment surpassed 10 percent. Half of all American workers suffered job losses, pay cuts, or reduced hours at work, or they were forced into part-time employment. The decline was almost a genuine depression.

The Great Recession reduced the asset values and wealth of individuals. Many people of your parents’ ages saw the value of their homes shrink 25 to 65 percent while at the same time half of their retirement funds evaporated. In total, it destroyed 20 percent of Americans’ wealth in both home values and investments. Surveys revealed that over 60 percent of those between ages 50 and 61 had to delay their retirements; the average age at retirement rose three years. Consumer confidence dropped to an all-time low.

Some people feared a **double dip recession**. This happens when the economy has a recession and then, soon after emerging from the recession with a short period of growth, falls back into recession. Fortunately, this did not occur although rebound growth was slow.

The Economic Future Will Be Expansion Despite the severity or length of any recession, eventually the economic contraction ends, and consumers and businesses become more optimistic. The economy then moves beyond the trough toward recovery and expansion, where levels of production, employment, and retail sales begin to improve, allowing the overall economy to experience some growth from its previously weakened state. The entire business cycle typically takes about six years.

Politicians and economic advisors struggle with which path to take to create economic growth. Most of the world has followed the Keynesian economic theory since the 1930s, which is to increase demand with stimulus spending even if it creates large temporary government deficits. The logic is that when consumers and businesses spend less, the economy will be further depressed unless the government spends more. Such spending creates additional economic growth that results in increased tax revenues, thus resulting in budget surpluses that can be used to pay down the debts.* Now, however, the deficits themselves are seen as the problem by some U.S. politicians and in other countries resulting in calls to slash public outlays. Others say such an austerity approach will lead to lower demand, lower growth, lower tax revenues, stock market declines, and an even higher national debt.

1.2c How to Tell the Future Direction of the Economy

To make sound financial decisions, you need to know where we are in the business cycle, how well the economy is doing, and where the economy might be headed. You can do this by paying attention to some economic statistics that are regularly reported in the news as well as on cable TV business shows. Your knowledge can help guide your long-term financial strategy. An **economic indicator** is any economic statistic, such as the unemployment rate, GDP, or the inflation rate (terms discussed in the next few paragraphs), that suggests how well the economy is doing and how well the economy might do in the future.

Look at Procylic Indicators, like GDP and Jobs A **procyclic** (or **procyclical**) economic indicator is one that moves in the same direction as the economy. Thus, if the economy is doing well, this number typically is increasing. If we are in a recession, this indicator is decreasing. Examples of procyclic indicators are retail sales, industrial production, new orders for durable goods (like household appliances), number of employees on nonagricultural payrolls, and the gross domestic product. Consumer spending accounts for about 70 percent of the total U.S. economy.

The best understood example of a procyclic economic indicator is the **gross domestic product (GDP)**, which is the market value of all the goods and services produced in

COMMON SENSE

Be Optimistic About Your Future



During poor economic times people face uncertain financial futures. However, this does not mean that they should stop saving and investing for their futures. Every generation has faced similar uncertainties. You should be positive about the long-term economic future. Make good decisions regarding spending, saving, investing, and donating by putting in practice what you learn in this book.

economic indicator

Any economic statistic, such as the unemployment rate, GDP, or the inflation rate, that suggests how well the economy is doing now and how well it might be doing in the future.

gross domestic product (GDP)

The nation’s broadest measure of economic health; it reports how much economic activity (all goods and services) has occurred within the U.S. borders during a given period.

*Every year since 1970, Congress has authorized more spending than projected revenue, except for the last two years of the William Jefferson Clinton presidency (1999 and 2000), which had budget surpluses.

the country. It is the broadest measure of the economic health of the nation. The federal government reports every quarter the value of all the goods and services produced in the country (www.bea.gov/newsreleases/rels.htm).

In the United States, an annual rate of 2 percent or less is considered very low growth (usually not even enough to create jobs for new entrants to the job market, such as college graduates), and 3 percent is considered growth occurring at a safe speed that is not likely to induce excessive inflation. A sustained rate of 4 percent or higher starts to worry economists and investors as they fear future inflation. The United States needs a GDP growth rate of about 2.5 percent just to keep unemployment from rising.

Look at Countercyclic Indicators A **countercyclic** (or **countercyclical**) economic indicator is one that moves in the opposite direction from the economy. For example, the unemployment rate is countercyclic because it gets larger as the economy gets worse.

leading economic indicators

Statistics that change before the economy changes, thus helping predict how the economy will do in the future, such as the stock market, the number of new building permits, and the consumer confidence index.

Look at Leading Indicators **Leading economic indicators** are those that change before the economy changes, thus, they help predict how the economy will do in the future. The stock market is a leading economic indicator because it usually begins to decline shortly before the overall economy slows down. Also, the stock market advances before the economy begins to pull out of a recession. Other examples of leading economic indicators are the number of new building permits, existing home sales, home prices, jobless claims (average number of weekly first-time filings for unemployment benefits), the Standard & Poor's 500 Stock Index, and the consumer confidence index.

The **consumer confidence index** is a widely watched leading economic indicator that gauges how consumers feel about the economy and their personal finances. It gives a sense of consumers' willingness to spend (www.conference-board.org). Growing confidence suggests increased consumer spending. Consumers worried about the future postpone purchases, and the reduced spending acts as a drag on the economy.

The **index of leading economic indicators (LEI)** is a composite index, reported monthly by the Conference Board, that suggests the future direction of the U.S. economy (www.conference-board.org). The LEI averages ten components of growth from different segments of the economy, such as building permits, factory orders, and new private housing starts. Leading economic indicators are important to investors as they help predict what the economy will be like in the future.

index of leading economic indicators (LEI)

Four composite index reported monthly by the Conference Board that suggests the future direction of the U.S. economy.

inflation

The process by which the cost of goods and services tends to rise over time.

1.2d The Future Direction of Inflation and Interest Rates

Prices and interest rates typically move in the same direction. A steady rise in the general level of prices is called **inflation**, which is the process by which the cost of goods and services tends to rise over time. Inflation often occurs when the supply

ADVICE FROM A SEASONED PRO



Seven Money Mantras for a Richer Life

1. It's not an asset if you are wearing it!
2. Is this a need or is it a want?
3. Sweat the small stuff.
4. Cash is better than credit.
5. Keep it simple.
6. Priorities lead to prosperity.
7. Enough is enough!

Michelle Singletary, Washington, DC

Nationally syndicated *Washington Post* columnist for "The Color of Money" and author of "The 21 Day Financial Fast: Your Path to Financial Peace and Freedom." Reprinted with permission of the author.

of money (or credit) rises faster than the supply of goods and services available for purchases. It also may be attributed to excessive demand or sharply increasing costs of production.

Inflation Is the Typical Economic Condition Some level of inflation is the typical condition in any economy. It can be beneficial in moderation as inflation encourages job creation and economic growth. But when there is high inflation in the United States, perhaps as high as 5 or 6 percent, workers begin to demand higher wages, thereby adding to the cost of production. In response to the increases in the costs of labor and raw materials, manufacturers will charge more for their products. Lenders, in turn, will require higher interest rates to offset the lost purchasing power of the loaned funds. Consumers will lessen their resistance to price increases because they may fear even higher prices in the future. Thus, inflation can have a snowball effect. In times of moderate to high inflation, buying power declines rapidly, and people on fixed incomes suffer the most.

A very negative complication of inflation that sometimes occurs is **stagflation**. This is the condition of stagnant economic growth and high unemployment accompanied by rising prices.

How Inflation Is Measured The U.S. Bureau of Labor Statistics measures inflation on a monthly basis using the **consumer price index (CPI)**. The CPI is a broad measure of changes in the prices of all goods and services purchased for consumption by urban households. The prices of more than 400 goods and services (a “market basket” of food, transportation, housing, health care, and entertainment) sold across the country are tracked, recorded, weighted for importance in a hypothetical budget, and totaled. In essence, the CPI is a cost of living index.

The index has a base time period—or starting reference point—from which to make comparisons. The 1982 to 1984 time period represents the base period of 100. For example, if the CPI were 251 on January 1, 2018, the cost of living would have risen 151 percent since the base period $[(251 - 100) / 100 = 1.51 \text{ or } 151\%]$. Similarly, if the index rises from 251 to 257 on January 1, 2019, then the cost of living will have increased by 2.4 percent over the year $[(257 - 251) / 251 = 0.024 \text{ or } 2.4\%]$.

How Inflation Affects Your Income From an income point of view, inflation has significant effects. Consider the case of Scott Wade of Sioux Falls, South Dakota, a single man who took a job in retail management three years ago at a salary of \$50,000 per year. Since that time, Scott has received three annual raises of \$1,000, but he still cannot make ends meet because of inflation. Although Scott received raises, his current income of \$53,000 $(\$50,000 + \$1,000 + \$1,000 + \$1,000)$ did not keep pace with the annual inflation rate of 2.4 percent $(\$50,000 \times 1.024 = \$51,200; \$51,200 \times 1.024 = \$52,429; \$52,429 \times 1.024 = \$53,687)$. If Scott’s own cost of living rose at the same rate as the general price level, in the third year he would be \$687 $(\$53,687 - \$53,000)$ short of keeping up with inflation. He would need \$687 more in the third year to maintain the same purchasing power that he enjoyed in the first year.

Personal incomes rarely keep up in times of high inflation. Your **real income** (income measured in constant prices relative to some base time period) is the more important number. It reflects the actual buying power of the **nominal income** (also called **money income**) that you have to spend as measured in current dollars. Rising nominal income during times of inflation creates the illusion that you are making more money, when in actuality that may not be true.

To compare your annual wage increase with the rate of inflation for the same time period, you first convert your dollar raise into a percentage, as follows:

$$\text{Percentage change} = \frac{\text{nominal annual income after raise} - \text{nominal annual income last year}}{\text{nominal annual income last year}} \times 100 \quad (1.1)$$

*This equation shows how the percentage change is calculated for any difference between two measurements. Divide the difference between measurement 1 and measurement 2 by the value of measurement 1. For example, a stock selling for \$65 per share on January 1 and for \$76 on December 31 of the same year would have risen 16.92 percent during the year: $[(\$76 - \$65) \div \$65 = 0.1692 \text{ or } 16.92\%]$.

consumer price index (CPI)

A broad measure of changes in the prices of all goods and services purchased for consumption by urban households.

real income

Income measured in constant prices relative to some base time period. It reflects the actual buying power of the money you have as measured in constant dollars.

nominal income

Also called money income; income that has not been adjusted for inflation and decreasing purchasing power.

For example, imagine that Javier Gomez, a single parent and assistant manager of a convenience store in Durham, New Hampshire, received a \$1,600 raise to push his \$47,000 annual salary to \$48,600. Using Equation (1.1), Javier calculated his percentage change in personal income as follows:

$$\frac{\$48,600 - \$47,000}{\$47,000} = 0.034 \times 100 = 3.4\%$$

After a year during which inflation was 2.4 percent, Javier did better than the inflation rate because his raise amounted to 3.4 percent. Measured in real terms, his raise was 1.0 percent ($3.4 - 2.4$). In dollars, Javier's real income after the raise can be calculated by dividing his new nominal income by 1.0 plus the previous year's inflation rate (expressed as a decimal):

$$\text{Real income} = \frac{\text{nominal annual income after raise}}{1.0 + \text{previous inflation rate}} \quad (1.2)$$

$$\frac{\$48,600}{1 + 0.024} = \$47,460$$



DO IT IN CLASS

Clearly, a large part of the \$1,600 raise Javier received was eaten up by inflation. To Javier, only \$460 ($\$47,460 - \$47,000$) represents real economic progress, while \$1,140 ($\$1,600 - \460) was used to pay the inflated prices on goods and services. The \$460 real raise is equivalent to 0.98 percent ($\$460 / \$47,000$, or less than 1 percent) of his previous income, reflecting the difference between Javier's percentage raise in nominal dollars and the inflation rate.

purchasing power

Measure of the goods and services that one's income will buy.



DO IT IN CLASS

Rule of 70

A formula to determine how long it will take for the value of a dollar to decline by one-half.

deflation

A broad, sustained decline in prices of goods and services that is hard to stop once it takes hold, causing less consumer spending, lower corporate profits, declining home values, rising unemployment, and lower incomes.

interest

The price of borrowing money.

How Inflation Affects Your Consumption When prices are rising, an individual's income must rise at the same rate to maintain its **purchasing power**, which is a measure of the goods and services that one's income will buy. When prices rise, the purchasing power of the dollar declines, but not by the same percentage. Instead, it falls by the *reciprocal amount* of the price increase.

In the preceding illustration where prices increase between 2018 and 2019, prices rose 2.4 percent, whereas the purchasing power of the dollar declined 2.07 percent over the same period. [The previous year base of 251 divided by the index of 257 equals 0.9767; the reciprocal is 0.0233 ($1 - 0.9767$), or 2.33%.].

The **Rule of 70** can be used to determine how long it will take for the value of the dollar to go down by one-half. Simply divide 70 by the current inflation rate. In our example, a 2.4 percent inflation rate would reduce the value of a dollar by one-half in 29 years ($70 / 2.4$). As you can see, even a low inflation rate means that by the time a young worker retires, the purchasing power of their initial income will have dropped significantly.

Inflation pushes up the costs of the products and services we consume. If automobile prices rose 15 percent over the past five years, for example, then it will take \$32,200 now to buy a car that once sold for \$28,000 ($\$28,000 \times 1.15$). If your market basket of goods and services differs from that used to calculate the CPI, you might have a very different **personal inflation rate** (the rate of increase in prices of items purchased by a particular person). Inflation pushes up the cost of borrowing, so monthly car payments and home mortgage rates can increase when inflation rises.

Deflation Also Can Be Bad During a severe recession there is the possibility of **deflation**, which is a broad, sustained decline in prices of goods and services. Deflation last occurred in the United States in 2009 as prices declined 0.34 percent during the year, and prices continued to decline during the early months of 2010. When faced with deflation, government policymakers often embark on massive spending programs to stimulate the economy. Such spending, of course, creates high national liabilities that ideally could be repaid when the economy is stronger.

How Inflation Affects Your Borrowing, Saving, and Investing Interest is the price of money. During times of high inflation, interest rates rise on new loans for cars, homes, and credit cards. Even though nominal interest rates for savers rise

as well, the increases do not provide “real” gains if the inflation rate is higher than the interest rate on savings accounts.

Smart investors recognize that the degree of inflation risk is higher for long-term lending (5 to 20 years, for example) than for short-term lending (such as a year) because the likelihood of error when estimating inflation increases when lots of time is involved. Therefore, long-term interest rates are generally higher than short-term interest rates.

Similarly, stock market investors are negatively affected when inflation causes businesses to pay more when they borrow, thereby reducing their profits and depressing stock prices. When inflation is at 5 percent annually, a dollar of profit that a company will earn a year from now will be worth only 95 cents in today’s prices. If instead inflation were only 2 percent, that dollar would be worth 98 cents today. Such differences add up to significant amounts over many years.

You Can Track the Federal Funds Rate to Forecast Interest Rates and Inflation

One of the mandates of the Federal Reserve Board (an agency of the federal government commonly referred to as the “**Fed**”) is to “promote maximum employment and price stability.” You can forecast interest rates and inflation by paying attention to changes in the **federal funds rate**, which is the short-term rate at which banks lend funds to other banks overnight so that the borrowing bank has sufficient reserves as mandated by the Fed.

The federal funds rate is set by the Fed and is a benchmark for business and consumer loans and an indication of future Fed policy. The Fed lowers the federal funds rate to boost the economy in slow economic times and raises it to slow down an overheated economy. The Fed has kept the federal funds rate at zero or very low for the past decade, and as the economy expands it will raise rates. The Fed’s goals are inflation at 2 percent or a bit lower, interest rates at 3 percent or a bit lower, and unemployment at 5 percent or a bit higher.

Unfortunately, it is impossible for regular people, or anyone else, to accurately forecast inflation. This is made clear by Professor Sherman Hanna of The Ohio State University, who has long studied the topic. The Fed has hundreds of professional economists making estimates as do virtually all large corporations in the USA.

Probably no one forecasts the future correctly beyond about a year. One’s views on inflation depend in part on when you were born and what inflation rates you experienced over your life so far. For you it might be best to use the past few years of inflation to formulate an estimate what inflation might be in the year or so. It is better to be close in your estimates of inflation than not making any estimates at all. Throughout your financial life, you will want to factor the impact of inflation into your financial decisions in an effort to reduce its negative effects.

In summary, to assess the economic outlook for the United States, watch these indicators: (1) GDP and jobs, including unemployment rate changes; (2) procyclic items like inflation and interest rates; (3) countercyclic items like unemployment and gold prices; (4) leading indicators like the consumer confidence index, LEI, and the stock market; (5) interest rates; and (6) the federal funds rate.

BIAS TOWARD— THINKING THINGS WILL CONTINUE AS THEY HAVE



People tend to think things will go on as they have recently. During a growing economy and rising stock market people often will think that things will continue as they have for a long time. What to do? Watch for economic indicators that suggest that the economy and the stock market are reaching a peak and consider selling stocks or stock mutual funds that are likely to decline as the economy eventually slows.

fed

The Federal Reserve Board, an agency of the federal government.

federal funds rate

The short-term rate at which banks lend funds to other banks overnight so that the borrowing bank has sufficient reserves as mandated by the Fed.



DO IT IN CLASS



The Fed meets regularly to discuss the economy and review federal interest rates.

DID YOU KNOW



The Peer-to-Peer Sharing Economy

The **sharing economy** refers to person-to-person (P2P) sharing of access to goods and services where owners rent out something they are not using, such as a car, house or bicycle to a stranger. This is coordinated through community-based online services.

Today we are hopping into strangers' cars (Lyft, Sidecar, Uber), welcoming them into our spare rooms (Airbnb), dropping our dogs off at their houses (DogVacay, Rover), eating food in their dining rooms

(Feastly), and getting food delivered from popular restaurants (Caviar). We hire their handymen (Handy), get goods delivered in an hour (Postmates), and outsource household errands (TaskRabbit). They rent our cars (RelayRides, Getaround), boats (Boatbound), houses (HomeAway), and power tools (Zilok).

We are entrusting complete strangers with our personal experiences and sometimes our lives. This is also known as *shareconomy* or *collaborative consumption*.



CONCEPT CHECK 1.2

1. Summarize the phases of the business cycle.
2. Describe two statistics that help predict the future direction of the economy.
3. Give an example of how inflation affects income and consumption.

Learning Objective 3

Think like an economist when making financial decisions.

sharing economy

Refers to person-to-person (P2P) sharing of access to goods and services where owners rent out something they are not using, such as a car, house, or bicycle to a stranger.

opportunity cost

The opportunity cost of any decision is the value of the next best alternative that must be forgone.

trade-off

Giving up one thing for another.

1.3 THINK LIKE AN ECONOMIST WHEN MAKING FINANCIAL DECISIONS

Understanding and applying basic economic principles will affect your financial success. The most notable of these are opportunity costs, marginal utility and costs, marginal income tax rate, and the importance of tax-free and tax-sheltered income.

1.3a Consider Opportunity Costs When Making Decisions

The **opportunity cost** of a decision is the value of the next best alternative that must be forgone. A simple example of opportunity costs in personal finance is spending money on current living expenses, which, of course, reduces the amount you can save and invest and you gain the opportunity to earn interest. Also, buying on credit results in monthly payments later, which reduces the opportunity to make desired purchases in the future. It is not just the payments and interest that is the cost of credit but other uses of those funds. If opportunity costs are underestimated, then decisions will be based on faulty information, and judgments may prove wrong. Properly valuing opportunity costs of alternatives represents a key step in rational decision making.

Using the concept of opportunity costs in your thinking allows you to address the personal consequences of choices because every decision inevitably involves trade-offs. A **trade-off** is giving up one thing for another. For example, it is wise to give up some current spending in order to enjoy a financially comfortable future. For example, suppose that instead of reading this book you could have gone to a movie or watched television, but mainly you wanted to sleep.

The lost benefit of reading—the next best alternative—is the opportunity cost when you choose to sleep. Similarly, keeping the money in a savings account has the opportunity cost of the higher return on investment that a stock market mutual fund might pay. This opportunity to earn a higher rate of return is a primary opportunity cost when making low-risk investment decisions. Other challenging opportunity cost decisions are

renting versus buying housing, buying a new or used car, working or borrowing to pay for college, and starting early or late to save and invest for retirement.

1.3b Identify Marginal Utility and Costs in Decision Making

Utility is the ability of a good or service to satisfy a human want. A key task in personal finance is to determine how much utility you will gain from a particular decision. For example, if you decide to spend \$150 on a ticket to a concert, you might begin by thinking about what you might gain from the expenditure. Perhaps you'll enjoy a nice evening, good music, and so on.

Marginal utility is the extra satisfaction derived from having one more incremental unit of a product or service. **Marginal cost** is the additional (marginal) cost of one more incremental unit of some item. When known, this cost can be compared with the marginal utility received. Thinking about marginal utility and marginal cost can help in decision making because it reminds us to compare only the most important variables. It requires that we examine what we will really gain if we also experience a certain extra cost.

To illustrate this idea, assume that you will consider spending \$250 instead of \$150 (an additional \$100) for a ground floor, close-to-the-front seat at the concert. What marginal utility will you gain from that decision? Perhaps it is the ability to see and hear more or the satisfaction of having one of the best seats in the house. You would then ask yourself whether those extra benefits are worth 100 extra dollars. In practice, people are inclined to seek additional utility as long as the marginal utility exceeds the marginal cost.

In another example, imagine that two new automobiles are available on a dealership lot in Fayetteville, Arkansas, where assistant plant manager Pamela Hicks, of nearby Wyman, is trying to make a purchase decision. The first, with a sticker price of \$29,100, has a moderate number of options; the second, with a sticker price of \$32,800, has numerous options. Marginal analysis suggests that Pamela does not need to consider all of the options when comparing the vehicles. Instead, the concept of marginal cost says to compare the benefits of the additional options with the additional costs—\$3,700 in this instance ($\$32,800 - \$29,100$). Pamela needs to decide if the additional options are worth \$3,700.

marginal utility

The extra satisfaction derived from gaining one more incremental unit of a product or service.

marginal cost

The additional (marginal) cost of one more incremental unit of some item.

1.3c Factor Your Marginal Income Tax Rate When Making Financial Decisions

Financial decisions often have an impact on the income taxes one must pay. Of particular importance is your **marginal tax rate**, which is the rate at which your *last* dollar earned (not all your income) is taxed. It is the highest tax bracket that your taxable income puts you in.

As income rises, taxpayers pay progressively higher marginal income tax rates. Financially successful people often pay U.S. federal income taxes at the 25 percent, or higher, marginal tax rate on the top segment of their income. For example, if Isatou Demba, an unmarried office manager working in Rockville, Maryland, has a taxable income of \$66,000 and receives a \$1,000 bonus from her employer, she has to pay an extra \$250 in taxes on the bonus income ($\$1,000 \times 0.25 = \250). Isatou also has to pay state income taxes of 6 percent, or \$60 ($\$1,000 \times 0.06 = \60), local income taxes of 2 percent and Social Security and Medicare taxes of 7.65 percent, or \$76.50 ($\$1,000 \times 0.0765 = \76.50). Therefore, Isatou pays an effective marginal tax rate of just over 40 percent ($25\% + 6\% + 2\% + 7.65\% = 40.65\%$), or \$406.50, on the extra \$1,000 of earned income.

marginal tax rate

The tax rate at which your last dollar earned is taxed, and it refers to the highest tax bracket that your taxable income puts you in.

1.3d Know that the Very Best Kind of Income Is Tax-Exempt Income

The best kind of income, as this discussion implies, is **tax-exempt income**, which generally is from an investment whose earnings are free, or exempt, from taxation. Examples are interest on municipal bonds issued by agencies of state and local governments. People who pay high marginal tax rates often seek out tax-exempt investments. For example, Serena Miller, a married chiropractor with two children from Portland, Oregon, currently earns \$250 per year on \$5,000 in invested in bonds and pays \$62.50 in federal income tax on that income

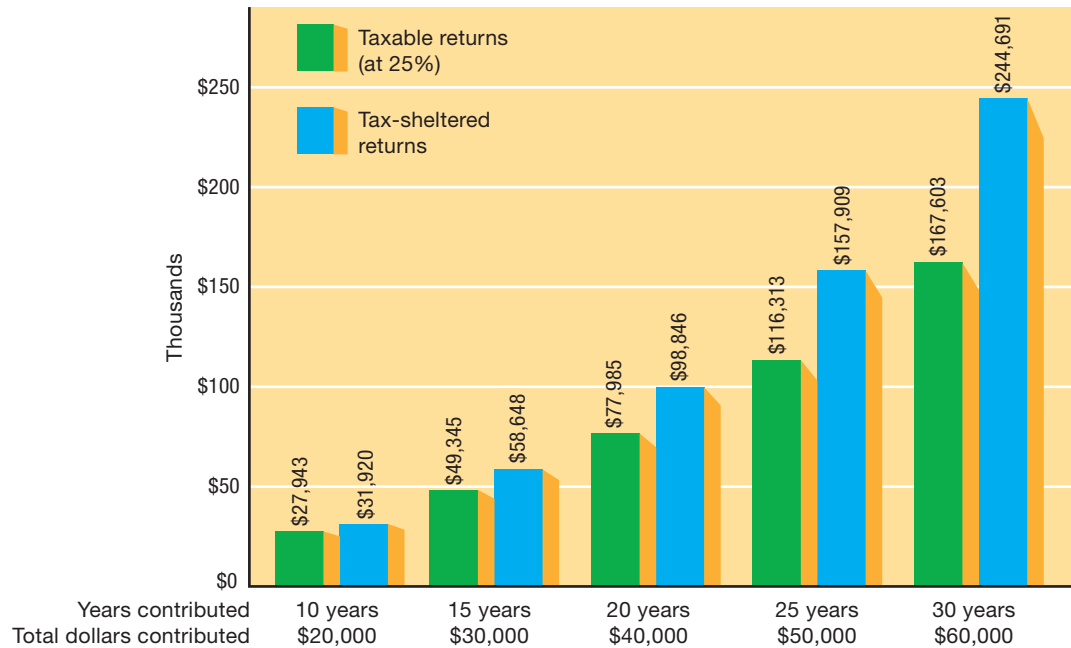
tax-exempt income

Income from an investment whose earnings are free, or exempt, from taxation.

Figure 1-4

Tax-Sheltered Returns Are Greater Than Taxable Returns

In the illustration, the annual return is 8 percent and the annual contribution is \$2,000.



YOUR GRANDPARENTS SAY



Save 10 percent of Your Income

"Young adults who save 10 percent of their income in a retirement account and never touch it will soon find themselves on pace to replace all their income upon retirement."

tax-sheltered income

Income that is legitimately exempt from income taxes and may or may not be subject to taxation in a later tax year.

at her 25 percent marginal tax rate ($\$250 \times 0.25$). Alternatively, a tax-exempt \$5,000 state bond paying 4 percent will provide Serena with a better after-tax return, \$200.00 instead of \$187.50 ($\$250 - \62.50).

1.3e Realize that the Second Best Kind of Income Is Tax-Sheltered Income

Tax-sheltered income is income that is legitimately exempt from income taxes and may or may not be subject to taxation in a later tax year. **Tax-deferred income** occurs when the payment of tax on the earnings from the investment can be postponed for a period of time.

Figure 1-4 shows that tax-sheltered and tax-deferred returns on savings and investments provide much greater returns than returns on which income taxes have to be paid because more money remains available to be invested. In addition, tax-sheltered funds grow more rapidly because compounding (the subject of the next section in this chapter) is enhanced when larger dollar amounts continue to grow especially during the latter years of an investment.



CONCEPT CHECK 1.3

1. Define *opportunity cost* and give an example of how opportunity costs might affect your financial decision making.
2. Explain and give an example of how marginal utility and marginal cost makes some financial decisions easier.
3. Describe and give an example of how your marginal income tax rate can affect financial decision making.

1.4 PERFORM TIME VALUE OF MONEY CALCULATIONS

A dollar in your pocket today is worth more than a dollar to be received five years from now. Why? Time is money.

The **time value of money** (TVM) is perhaps the single most important concept in personal finance. TVM is the cost of money that is borrowed or lent, and it is commonly referred to as interest. TMV adjusts for the fact that dollars to be received or paid out in the future are not equivalent to those received or paid out today. It is easy to understand that a dollar received today is worth more than a dollar received five years from now because today's dollar can be saved or invested and earn some kind of return, such as interest, so that in five years you expect it to be worth more than a dollar. The time value of money involves two components: future value and present value.

1.4a There Are Only Two Common Questions About Money

To illustrate the time value of money, two questions in personal finance are commonly asked:

1. *What will an investment (or a series of investments) be worth after a period of time?* This question asks for a future value, which is referred to as compounding.
2. *How much has to be put away today (or as a series of investments) to provide some dollar amount in the future?* This question asks for a present value.

As you can see from these two questions, comparisons between time periods cannot be made without making adjustments to money values. Accordingly, time value of money calculations compare future and present values by taking into account the interest rate (or investment rate of return) and the time period involved.

Simple Interest The calculation of interest involves (1) the dollar amount, called the **principal**, (2) the rate of interest earned on the principal, and (3) the amount of time the principal is invested. One way of calculating interest is called simple interest and is illustrated by the simple interest formula

$$i = prt \text{ where}$$

$$p = \text{the principal set aside}$$

$$r = \text{the rate of interest}$$

$$t = \text{the time in years that the funds are left on deposit}$$
(1.3)

If someone saved or invested \$1,000 at 8 percent for four years, he would receive \$320 in interest ($\$1,000 \times 0.08 \times 4$) over the four years.

Compounding Is the Basis of All Time Value of Money Considerations

But something is missing in the simple interest calculation. The simple interest formula assumes that the interest is withdrawn each year and only the \$1,000 stays on deposit for the entire four years, and thus interest is not added to the principal.

Most people do not invest this way. Instead, they leave the interest earned in the account so that it will earn additional interest. By compounding we mean interest that is paid on interest, which been reinvested; in other words, "interest on interest." To understand why, consider that Albert Einstein once said that, "Compound interest is the eighth wonder of the world. He who understands it, earns it ... He who doesn't, pays it."

This earning of interest on interest is referred to as **compound interest**. It arises when interest is added to the principal, so that from that moment on the interest that has been added also itself earns interest. This addition of interest to the principal is called **compounding**. The effect of compounding depends on the frequency with which interest is paid and the periodic interest rate that is applied. Compound interest is always assumed in time value of money calculations.

Learning Objective 4

Perform time value of money calculations in personal financial decision making.

time value of money

A method by which one can compare cash flows across time, either as what a future cash flow is worth today (present value) or what an investment made today will be worth in the future (future value). Also, the cost of money that is borrowed or lent; it is commonly referred to as interest and adjusts for the fact that dollars to be received or paid out in the future are not equivalent to those received or paid out today.

principal

The original amount invested.

compound interest

Compound interest is earning of interest on interest and arises when interest is added to the principal so that, from that moment on, the interest that has been added also earns interest.

compounding

The addition of interest to principal; the effect of compounding depends on the frequency with which interest is compounded and the periodic interest rate that is applied.

Compounding is the best way to build investment values over time. Because of compounding, money grows much faster when the income from an investment is left in the account. In fact, the deposit of \$1,000 in our example would grow to \$4,661 after 20 years (the calculation is described below). Many of the techniques for building wealth that we describe in this book are based on compounding. The way to build wealth is to make money on your money, not simply to put money away. Yes, you need to put money away first, but compounding over time is what really builds wealth. In essence, compound interest makes your money work for you, instead of just working for your money.

Four out of five adults falsely believe that that investment growth goes in a straight line. But the reality is that growth is exponential so as your savings compound you earn interest on interest, so your money grows faster and faster.

Compounding serves as the basis of all time value of money considerations. To see how this works, let us look again at our example in which \$1,000 is invested at 8 percent for four years. Here is how the amount invested (or principal) would grow using compounding:

At the end of year 1, the \$1,000 would have grown to
\$1,080 [$\$1,000 + (\$1,000 \times 0.08)$].

At the end of year 2, the \$1,080 would have grown to
\$1,166.40 [$\$1,080 + (\$1,080 \times 0.08)$].

At the end of year 3, the \$1,166.40 would have grown to
\$1,259.71 [$\$1,166.40 + (\$1,166.40 \times 0.08)$].

At the end of year 4, the \$1,259.71 would have grown to
\$1,360.49 [$\$1,259.71 + (\$1,259.71 \times 0.08)$].

Due to the effects of compounding, this investor would have earned an additional \$40.49 ($\$360.49 - \320). While this amount might not seem like much, realize that a \$1,000 investment for a longer period—say, 40 years—earning 8 percent interest would grow to \$21,724.52, providing \$20,724.52 in interest over that time period. Simple interest would have resulted in only \$3,200 in interest ($\$1,000 \times 0.08 \times 40$). The benefit of compounding over that time period is an additional \$17,524.52 in interest ($\$20,724.52 - \$3,200$).

The results are even more dramatic if \$1,000 is invested at the end of each year for 40 years. The total at the end of 40 years would be \$259,056, with \$219,056 representing the interest on the invested funds. This illustration suggests one of the cardinal rules of personal financial planning: Getting rich is not a function of investing a lot of money. It is the result of investing regularly for long periods of time. The greatest investment strategy of all is compounding. Only through compounding will you attain the serious growth of your wealth over time. The sooner you start saving, the less money you have to put away.

1.4b Calculating Future Values

future value

The valuation of an asset projected to the end of a particular time period in the future.

Future value (FV) is the valuation of an asset projected to the end of a particular time period in the future. You can calculate the future value of a lump sum or the future value of a series of deposits.

Future Value of a Lump Sum Equation (1.4) can be used to calculate the future value of a lump sum:

$$FV = (\text{Present value of sum of money}) (1.0 + i)^n \quad (1.4)$$

where i represents the interest rate and n represents the number of time periods. Applying this formula to our earlier example of investing \$1,000 at 8 percent for four years, we obtain

$$\$1,360.49 = (\$1,000)(1 + 0.08)^4$$

or

$$\$1,360.49 = (\$1,000)(1.08)(1.08)(1.08)(1.08)$$

*Table 1-1***Future Value of \$1 After a Given Number of Periods**

Periods	1%	2%	3%	4%	5%	6%	7%	8%	9%	10%
1	1.0100	1.0200	1.0300	1.0400	1.0500	1.0600	1.0700	1.0800	1.0900	1.1000
2	1.0201	1.0404	1.0609	1.0816	1.1025	1.1236	1.1449	1.1664	1.1881	1.2100
3	1.0303	1.0612	1.0927	1.1249	1.1576	1.1910	1.2250	1.2597	1.2950	1.3310
4	1.0406	1.0824	1.1255	1.1699	1.2155	1.2625	1.3108	1.3605	1.4116	1.4641
5	1.0510	1.1041	1.1593	1.2167	1.2763	1.3382	1.4026	1.4693	1.5386	1.6105
6	1.0615	1.1262	1.1941	1.2653	1.3401	1.4185	1.5007	1.5869	1.6771	1.7716
7	1.0721	1.1487	1.2299	1.3159	1.4071	1.5036	1.6058	1.7138	1.8280	1.9487
8	1.0829	1.1717	1.2668	1.3686	1.4775	1.5938	1.7182	1.8509	1.9926	2.1436
9	1.0937	1.1951	1.3048	1.4233	1.5513	1.6895	1.8385	1.9990	2.1719	2.3579
10	1.1046	1.2190	1.3439	1.4802	1.6289	1.7908	1.9672	2.1589	2.3674	2.5937

While mathematically correct, these calculations can be cumbersome when using long time periods. Table 1-1 provides a quick and easy way to determine the future dollar value of an investment. For the preceding example, use the table in the following manner: Go across the top row to the 8 percent column. Read down the 8 percent column to the row for four years to locate the factor 1.3605 (at the intersection of the yellow column and row). Multiply that factor by the present value of the cash asset (\$1,000) to arrive at the future value (\$1,360.50).

Appendix A.1 provides an even more complete table for calculating the future value of lump-sum amounts. Figure 1-5 demonstrates the importance of higher yields and longer time horizons by showing the effects of various compounded returns on a \$10,000 investment. The \$10,000 will grow to \$57,435 in 30 years with an interest rate of 6 percent. Compounding \$10,000 at 10 percent yields \$174,494 over the same time period; at 14 percent, it yields a whopping \$509,502! For practice you might want to confirm these results using Appendix A.1.

**DO IT IN CLASS**

NUMBERS ON



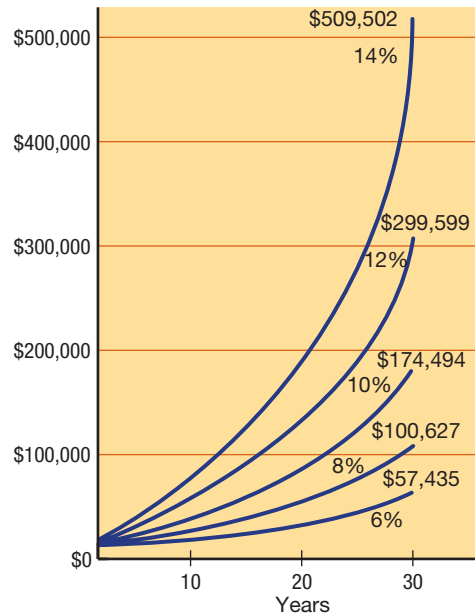
Understanding Personal Finance

Data from a variety of sources suggest:

- The average score on a national financial literacy test is a lousy 65 out of 100.
- Average household income in the USA is about \$59,000.
- A dollar kept under a mattress year ago is worth less now.
- If you want to retire at age 65, you have to save about \$4.66 beginning at age 42 to make up for every dollar you did not save at age 22.
- Thirty percent of workers have not yet saved a dime for retirement.
- Investing \$50 a month at 8 percent starting at age 45 until you are 65 creates a sum of \$27,000, while starting at age 25 provides \$155,000.

Figure 1-5

The Importance of Higher Yields and More Time
(Future Value of a Single Investment of \$10,000)



annuity

A stream of payments to be received in the future.

Future Value of a Stream of Payments (an Annuity) People often save for long-term goals by putting away a series of payments. Appendix A.3 provides a complete table for calculating the future value of a stream of deposited amounts, referred to as an **annuity**. You can use it to determine the effects of various compounded returns on a \$2,000 annual investment made at the end of each year. The \$2,000 will grow to \$91,524 in 20 years (read across the interest rate row in Appendix A.3 to 8 percent and then down the column to 20 years to obtain the factor of 45.762 to multiply by \$2,000) and to \$226,566 in 30 years at an 8 percent rate. Compounding \$2,000 at 10 percent yields \$114,550 in 20 years and \$328,988 over 30 years; at 14 percent, it becomes \$713,574 after 30 years! As you can see, time builds wealth.

MONEY WEBSITES



Informative websites are:

- Bankrate.com
- Bureau of Labor Statistics CNNMoney
- Department of Labor
- Dinkeytown.net
- Federal Reserve Board
- Financial Calculators
- KJE
- Microsoft's MSN MoneyCentral
- Moneychimp
- Intuit's Quicken
- USA Today
- Yahoo Finance

1.4c Finding Present Values Is Called Discounting

Present value (or discounted value) is the current value of an asset (or stream of assets) that will be received in the future. **Discounting** is the process of reducing future values to present values. You can calculate the present value of a lump sum to be received in the future or the present value of a series of payments to be received in the future.

Present Value of a Single Lump Sum The present value of a lump sum is the current worth of an asset to be received in the future. Alternatively, it can be thought of as the amount you would need to set aside today at a given rate of interest for a given time period so as to have some desired amount in the future.

A simple formula for figuring the number of years it takes to double the principal using compound interest is the **Rule of 72**. Simply divide the interest rate that the money will earn into the number 72. The Rule of 72 indicates that an investment earning 9% per year compounded annually will double in 8 years. The rule also means if you want your money to double in 4 years, you need to find an investment that earns 18% per year compounded annually.

To use the Rule of 72 to determine the approximate length of time it will take for your money to double, simply divide 72 by the annual interest rate. For example, if the interest rate earned is 6%, it will take 12 years (72 divided by 6) for your money to double. If you want your money to double every 8 years, you will need to earn an interest rate of 9% (72 divided by 8).

Here's another way to demonstrate that the Rule of 72 works. Assume you make a single deposit of \$1,000 to an account and wish for it to grow to a future value of \$2,000 in nine years. What annual interest rate compounded annually will the account have to pay? The Rule of 72 indicates that the rate must be 8% (72 divided by 9 years).

Suppose you want to have \$50,000 for the down payment on a new home in ten years. What would you need to set aside today to reach this goal if you could invest your money and receive a 7 percent return? Using Appendix A.2 you could look across the interest rate rows to 7 percent and then down to ten years to obtain the factor of 0.5083. Multiplying \$20,000 by this factor reveals that \$25,415 set aside today would allow you to reach your goal.



DO IT IN CLASS

Present Value of a Stream of Payments (an Annuity) The present value of an annuity is the current worth of a stream of payments to be received in the future. Alternatively, it can be thought of as the amount you would need to set aside today at a given rate of interest for a given time period so as to receive that stream of payments. Suppose you want to have \$30,000 per year for 20 years during your retirement to supplement your expected pension payments. What amount would you need to have invested at retirement to reach this goal if you could invest your money and receive a 7 percent return? Using Appendix A.4 you could look across the interest rate rows to 7 percent and then down to 20 years to obtain the factor of 10.5940. Multiplying \$30,000 by this factor reveals that \$317,820 ($10.5940 \times \$30,000$) set aside at retirement would fund this stream of payments. Note the beauty of compound interest in this result. It takes only \$317,820—not \$600,000—to fund a \$30,000 per year retirement for 20 years if you can earn 7 percent on your financial nest egg.*



CONCEPT CHECK 1.4

1. What are the two common questions about money?
2. Explain the difference between simple interest and compound interest, and describe why that difference is critical.
3. Use Table 1-1 to calculate the future value of (a) \$2,000 at 5 percent for four years, (b) \$4,500 at 9 percent for eight years, and (c) \$10,000 at 6 percent for ten years.

1.5 MAKE SMART MONEY DECISIONS AT WORK

Making smart decisions about your employee benefits can increase your actual income by 30 percent or more. Such decisions help you recognize the wisdom of young people investing early, regularly, and long-term to extract maximum earnings from their investments.

1.5a Open the New Employee Orientation Package

The rule for you is to open that huge packet on employee benefits you received during new workers orientation. Read it because all employee benefits are noted within and most help you make good personal finance decisions.

*If you are using a financial calculator for time value of money calculations, see "How to Use a Financial Calculator" on the Garman/Forgue companion website, or you can use the present and future value calculators also found on the Garman/Forgue companion website, www.cengagebrain.com.

Learning Objective 5

Make smart decisions about your employee benefits.

ADVICE FROM A SEASONED PRO



A Baker's Dozen of Good Financial Behaviors

Good financial behaviors to follow include these:

1. Develop a plan for your financial future.
2. Save regularly and increase savings as income grows.
3. Follow a budget or spending plan to control or, if necessary, reduce living expenses.
4. Pay credit card bills in full each month.
5. Keep all personal debts and installment loans to a minimum.
6. If debt becomes unmanageable, get help from a non-profit credit/budget counselor.
7. Set aside an emergency fund sufficient to live on for three to six months.
8. Determine how much money is needed for retirement and then begin early to save for it through your employer's plan and/or an individual retirement account.
9. Contribute to a flexible spending account if available at your workplace.
10. Understand investments and maximize returns through wise asset allocation and fee minimization.
11. Comparison shop for major purchases.
12. Contemplate how economic events might affect your personal financial decision making and act wisely.
13. Consult a fee-only financial planner when faced with challenging financial issues.

Xiaohui Sophie Li and Anastasia Theisen,
Northern Illinois University, DeKalb, Illinois

employee benefit

Compensation for employment that does not take the form of wages, salaries, commissions, or other cash payments.

An **employee benefit** is the general term for the indirect benefits one receives at work that are concerned with such things other than compensation for employment that does not take the form of wages, salaries, commissions, or other cash payments. Your benefits package might also include employee benefits like paid vacations and sick days, health insurance, a retirement plan, child care, parental leave, and an education assistance program.

While some benefits are free others will cause you to put out some money. But they also will save you money. What is important is to not procrastinate! Forget your fear of change. Learn about the programs. Then take the effort to sign up at human resources office to slightly reduce your income and spending so you can obtain the values of these benefit programs.

Every time you are faced with a decision to save or spend you need to look at the future consequences of that decision and understand what is important to you now and in the future. There is a tendency to choose smaller rewards in the near term at the expense of a long-term goal. There are costs in all decisions. Be smart.

cafeteria plan

A type of employee benefit plan where employees are offered a choice between cash (which is taxable) and at least one other nontaxable benefit, which are qualified as nontaxable or tax-sheltered benefits.

1.5b Choosing Tax-Free Cafeteria Plan Benefits

A **cafeteria plan** is a type of employee benefit plan where employees are offered a choice between cash (which is taxable) and at least one other nontaxable benefit, which are qualified as nontaxable or tax-sheltered benefits. For example, an employer might offer \$4,000 annually to each employee to spend on benefits. The plan might offer health insurance, life insurance, sick leave or disability benefits, medical expense reimbursement, vacation days, dependent care, adoption assistance, and orthodontia treatments. Employees choose the benefits they want and can design their own benefits package.

TURN BAD HABITS INTO GOOD ONES



Do You Do This?

Ignore news about the economy
Buy lots of extra features on products
Focus only on take-home pay
Spend all of your income
Combine all your marital funds into one account
Don't know how much to save for retirement
Rent an expensive apartment
Have not yet started to invest for retirement
Pay out-of-pocket expenses for health care
Skip buying insurance
Get financial advice from friends

Do This Instead!

Watch some business news on cable television
Use marginal costs in buying decisions
Sign up for employer tax-advantaged saving plans
Put money away for a rainy day
Consider having 3 checking accounts: joint, his, and hers
Begin investing as soon as possible
Spend no more than one-third of your budget on housing
Start saving early because your savings will compound
Use employer's cafeteria benefits plan for some expenses
Buy insurance for costly things but not for small risks
Seek advice of fee-only financial planner

1.5c Decisions About Employer's Flexible Spending Accounts

Some employee benefits are tax-sheltered. A **flexible spending account (FSA)**, also called a **flexible spending arrangement**, is a sum of money that the employee sets up at the start of each year that can then be used during the year to pay for health care- and/or dependent-care related items. These are paid with **pretax dollars** (money income that has not been taxed by the government) rather than after-tax income. Under a typical FSA, the employee agrees to have a certain amount deducted from each paycheck that is then deposited into a separate account. There are two types of flexible spending accounts; the *medical and dental expense FSA* and the *dependent care FSA*. FSA contributions are limited to \$2,600. Dependent care FSA contributions are limited to \$5,000 per year. As eligible expenses are incurred, the employee requests and receives reimbursements from the account.

Funds in a dependent care FSA account may be used to pay for the care of a dependent younger than age 13 or the care of another dependent who is physically or mentally incapable of caring for himself or herself and who resides in the taxpayer's home. Funds in a medical care FSA account may be used to pay for qualified, unreimbursed out-of-pocket expenses for health care, but they may not be used for over-the-counter medicines unless specifically prescribed by a doctor.

Before enrolling in an FSA, you need to estimate your expenses carefully so that the amount in the FSA does not exceed anticipated expenses. According to Internal Revenue Service (IRS) regulations, unused amounts are forfeited and are not returned to the employee—a condition called the “use it or lose it” rule. However, 2/3 of employers offer a 2½-month grace period during which time you can continue to spend up to \$500 of the previous year's FSA money.

Some employers offer a *limited purpose FSA* for vision and dental costs. Many employers offer debit cards that withdraw money directly from an employee's FSA. Only about 20 percent of eligible employees participate in flexible spending accounts, even though doing so saves money.

flexible spending account (FSA)

An employer-sponsored account that allows employee-paid expenses for medical or dependent care to be paid with an employee's pretax dollars rather than after-tax income.

pretax dollars

Money income that has not been taxed by the government.

COMMON SENSE Employees Gain Cash from Flexible Spending Plans



Because many workers pay combined effective marginal income tax rates of about 40 percent, that same percentage can be *saved* by not giving it to the government in taxes. The worker who contributes \$5,000, for example, to a flexible spending account (FSA) saves approximately \$2,000 ($\$5,000 \times 0.40$) in taxes, further reducing his or her overall expenses. That's real cash back into your pocket!